

THE COURSE

# Practical Game Theory

See the Game Behind the Conversation

Student Workbook

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# Module 0 — Orientation: The Game Behind the Conversation

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**The question:** What if the way we normally think about communication starts too late?

## The tool: The Interaction Journal

Use one page per interaction. You'll add a new column of questions in each module.

**Date / setting:**

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**Who was involved (including people not in the room):**

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**What I wanted:**

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**What I think they wanted:**

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**What I said or did:**

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**How they responded:**

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**Did their response surprise me? What might that tell me?**

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**If I could replay it, what question would I ask myself before speaking?**

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## Practice exercises

### Exercise A — Analyze the scenario

Dana manages a small marketing team. For three weeks, she has asked a senior designer, Marcus, to submit his drafts two days before client deadlines so she can review them. She has explained why, rephrased the request, and finally sent a firm email. Marcus keeps submitting the night before. Dana's colleague suggests she "work on her delivery." Dana suspects the problem isn't her words at all. Marcus is paid a bonus based on client satisfaction scores, not internal deadlines. The client contact loves Marcus and often requests last-minute changes directly from him.

1. Who are the players, including any who aren't in Dana's conversations?
2. Why might better wording fail here?
3. What question should Dana be asking instead of "How do I say this more clearly?"

### Exercise B — Your own game

Think of one recurring interaction that frustrates you: at work, at home, or with a customer. Write down the last thing you said in it. Then list everything you assumed before you said it: about what they wanted, what they knew, and how they'd respond. Circle any assumption you have never actually tested.

### Exercise C — Partner drill / role-play

**Setup (10 minutes, pairs).** Partner 1 describes a recent conversation that went badly in two minutes, focusing only on what was said. Partner 2 may then ask only structural questions for five minutes: Who else was affected? What did each person want? What were their alternatives? What happened next? Switch roles.

**Debrief:** What did the structural questions reveal that the words didn't? Did either of you change your interpretation of the other person?

## Quiz

1. In this course, a "game" is best defined as:
  - A) Any competitive situation with a winner and a loser
  - B) Any situation in which outcomes depend on the choices of more than one person
  - C) A technique for gaining leverage in a conversation
  - D) A mathematical model that requires calculation
2. Why can excellent communication still produce a bad outcome?
  - A) Because people rarely listen

- B) Because tone matters more than content
  - C) Because if your read of the situation is wrong, good words execute the wrong strategy
  - D) Because game theory says communication is irrelevant
3. Which is the course's ethical foundation?
- A) Win-win, always
  - B) Truth, autonomy, dignity, informed choice
  - C) Reciprocity, scarcity, authority
  - D) Whatever produces the best outcome for you
4. The learning loop that runs through the course is:
- A) Plan → Pitch → Close
  - B) Listen → Mirror → Label
  - C) Model → Act → Observe → Update → Adapt
  - D) Analyze → Decide → Never revisit
5. Which question belongs to Mental Model 10?
- A) What makes this message believable?
  - B) Are we in conflict, or failing to coordinate?
  - C) What does each player actually value?
  - D) What actually binds a promise?
6. A mental model in this course is best described as:
- A) A law that predicts behavior precisely
  - B) A lens that tells you what to look at
  - C) A script for difficult conversations
  - D) A personality test
7. When someone responds in a way you didn't predict, the course suggests you:
- A) Conclude they are irrational
  - B) Repeat your move more forcefully
  - C) Treat the surprise as information and update your model
  - D) Ignore it as noise
8. How much analysis should you apply to an interaction?
- A) The full eleven-model audit every time
  - B) None, because intuition is enough
  - C) As much as the stakes and uncertainty justify
  - D) Only when you are losing

## Field assignment

**This week, observe; don't change anything.** Record three interactions in your Interaction Journal: one at work, one at home, and one with a stranger or customer. For each, note one thing that shaped the outcome that wasn't the words themselves, such as a person not in the room, an incentive, a deadline, or a past history.

**Debrief questions for next week:** 1. Which of the three interactions had the most "invisible" structure? 2. Where did you catch yourself assuming you knew what someone wanted? 3. Which of the eleven questions do you suspect you'll need most?

## The question to carry

| What did I assume before I spoke?

## My notes

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# Module 1 — See the Game

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**The question:** What's really going on here?

## The tool: The Game Map

Use this before any important interaction. Write short answers and don't aim for perfection. The goal is to train your attention, not to complete a form.

### The interaction:

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### WHO?

- Who are the relevant players?

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- Who can actually affect the outcome, including anyone not in the room?

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### WHAT?

- What does each person want?

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- Where are our interests aligned?

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- Where are they different?

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### OPTIONS?

- What can each player actually do?

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**CONSTRAINTS?**

- What limits those choices?

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- Which constraints are stated, and which do I know are real?

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**INFORMATION?**

- Who knows what?

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- Who doesn't know what?

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**TIMING?**

- Who moves first?

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- Who responds?

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- What can each person observe before choosing?

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**ALTERNATIVES?**

- What happens if there is no agreement, for me and for them?

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**DEPENDENCIES?**

- Who needs whom?

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- Who has alternatives?

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**THEN WHAT?**

- If I make this move, what is the other person likely to do next?

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- And what would I do after that?

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**Final check**

- Could there be a game behind the conversation, such as credit, trust, status, authority, or precedent?

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- Is this a person problem or a game problem?

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- What am I failing to notice about the game?

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**Practice exercises****Exercise A — Analyze the scenario**

Dana runs operations at a regional distribution company. For six weeks she has been pushing Marcus, the warehouse lead, to adopt a new scheduling system. Marcus keeps saying it “isn’t ready” and that his team “doesn’t have time to learn it.” Dana has started to see him as stubborn and plans to tell him at Thursday’s one-on-one that the switch is happening next Monday, no exceptions. Here’s what Dana hasn’t thought about. Marcus’s quarterly bonus is tied to on-time shipment rates, and any slowdown during the learning period will hit his numbers. The software vendor’s onboarding team is booked for the next three weeks. Two of Marcus’s most experienced pickers have quietly told him they’d rather leave than learn “another system.” Dana’s own boss, the VP, approved the system and asked her for a progress update at the end of the month. Marcus knows other warehouses in the area are hiring leads.

1. Who are the players in this game, and which ones aren’t in Thursday’s meeting?
2. Where are Dana’s and Marcus’s interests aligned, and where do they differ?

3. What constraints shape Marcus's options, and what alternatives does each of them have if they don't reach agreement?
4. If Dana announces "next Monday, no exceptions," what is Marcus likely to do next? Then what?
5. Is this primarily a person problem or a game problem?

### Exercise B — Your own game

Pick a live situation you've been thinking about mostly in terms of what to say: a conversation you're dreading, a request, or a recurring friction.

1. Describe the situation in one sentence, as you've been seeing it.
2. Fill out the full Game Map. Circle any answer you're unsure of. Those are your information gaps.
3. Name one player you hadn't been considering, and one constraint or alternative that changes the picture.
4. Write the stated issue and one possible game behind it. What would tell you whether the stated issue is the real one?
5. Answer THEN WHAT for two different opening moves. Which leaves both of you with better options?
6. Finish this sentence: "I was about to walk into this thinking only about

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. What's really going on is

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### Exercise C — Partner drill / role-play

**Format:** Pairs, about 15 minutes. One person plays the Employee and one plays the Manager. An observer is optional, or you can practice with an AI practice partner by giving it the Manager's private brief.

**Setup (both see this):** The Manager has just sent the Employee a text: "We need to talk about your performance." The meeting starts in five minutes.

**Employee's private brief:** You have no idea what this is about. You recently got an informal offer from another company that you haven't mentioned. You finished a major project last month but think it went unnoticed.

**Manager's private brief:** You chose those words in a hurry. Your real goal is to ask the Employee to take over a struggling project because you think they're your strongest

performer. Your own director is pressing you to fix that project this quarter, and you can't offer a raise until the next budget cycle.

**Round 1 (3 minutes):** The Employee takes 3 minutes to fill out a Game Map from their own position, noting what they know, what they don't, and what they assume. The Manager does the same.

**Round 2 (5 minutes):** Hold the conversation. The Employee's job is to understand the game before defending themselves: ask questions, learn what the Manager wants, and find out who else is involved. Neither player should reveal anything their character wouldn't reasonably reveal.

**Round 3 (5 minutes), debrief:**

- Employee: How much of your map was wrong? What did you assume from the wording of the text?
- Manager: How did your words change the Employee's decision problem? What would you send instead?
- Both: How did the players outside the room (the director, the other company) and each side's constraints shape the conversation? Where were your interests aligned?

If time allows, switch roles and rerun it with the Manager stating the real purpose up front. Notice how the game changes.

## Quiz

1. In the game-theoretic sense used in this course, a "game" is best defined as:
  - A) A competition in which one person wins and the other loses
  - B) A situation in which the outcome depends, at least partly, on the decisions of multiple people
  - C) Any interaction in which someone is trying to manipulate someone else
  - D) A formal model that requires calculating an equilibrium
2. According to the chapter, what question does game theory ask before "Was that the right thing to say?"
  - A) "How do I build more rapport?"
  - B) "Which persuasion technique fits here?"
  - C) "What happens after I say it?"
  - D) "Who is right?"
3. A vendor tells you, "I'd love to give you that price, but I simply can't go below \$10,000." The approach the chapter recommends is to:
  - A) Assume they're bluffing and push harder
  - B) Accept the number, since they've stated a constraint

- C) Ask what actually constrains them, because a bluff, a real policy, and an unwilling-but-able seller look identical on the surface
  - D) Walk away immediately to show strength
4. Two business partners both want their company to succeed but disagree about pay, reinvestment, and credit. Their interests are best described as:
- A) Fully aligned
  - B) Fully opposed
  - C) Mixed
  - D) Irrelevant to the game
5. Which statement about outside options matches the chapter?
- A) The person with the better alternative always wins.
  - B) Alternatives matter only after a negotiation fails.
  - C) Alternatives can change the negotiation itself, but their effect depends on the structure of the game.
  - D) Alternatives are a persuasion tactic you should hide.
6. A manager says, “My employees aren’t cooperating.” Their pay system rewards outperforming one another and nobody knows who owns key tasks. The chapter would most likely call this:
- A) A person problem, because the employees are selfish
  - B) A possible game problem, because the structure may be producing the behavior
  - C) A communication problem that better wording would solve
  - D) Proof that the employees bear no responsibility
7. You and a coworker both want a project finished. You think they’re procrastinating, and they think you’ll take over if they start. What does this example illustrate?
- A) Your coworker has a character flaw.
  - B) Shared goals guarantee smooth cooperation.
  - C) Expectations about each other can create a problem even when both people want the same outcome.
  - D) The situation is purely competitive.
8. Which statement best reflects the evidence on “seeing the game”?
- A) Studies show that people who use a Game Map always make better decisions.
  - B) Research shows that how people construe and notice a strategic situation can affect their behavior, but it hasn’t been shown that teaching people to see the game improves real-world communication.
  - C) The Wall Street/Community Game study proves that labels don’t matter.
  - D) Game theory assumes people are perfectly rational, and experiments confirm it.

## Field assignment

**This week: map one conversation before you have it.**

Choose one meaningful interaction coming up this week, such as a request, a negotiation, a difficult talk, or a family decision. Before it happens, spend 10 minutes on a Game Map. Don't write a script. Write down your best guesses for each of the nine questions, and mark which answers are assumptions rather than facts.

During and after the conversation, observe and record: - Any player who turned out to matter that you hadn't listed - Any constraint or alternative that was different from what you assumed - One moment where the other person's response changed your next move (THEN WHAT in action) - Whether the stated topic was the whole issue, or whether there was a game behind the conversation

**Debrief questions for next week:** 1. What did you notice about the situation that you would have missed if you'd only prepared what to say? 2. Which of your assumptions was most wrong, and what did you learn about the other person's position that made their behavior more reasonable? 3. Was the main obstacle a person problem or a game problem, and what would change the game next time?

## The question to carry

| What's really going on here?

## My notes

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# Module 2 — See the Payoffs

**The question:** What payoff would make their behavior make sense?

## The tool: The Payoff Map

Use this map before any important interaction. It sits on top of your Game Map from Module 1.

**The interaction:**

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**Players (from your Game Map):**

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**1. What do I want?** What outcomes matter to me? (List more than one currency.)

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**2. What do they want?** What outcomes appear to matter to them? (Not what they should want, not what I'd want in their shoes, not only what they said.)

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**3. Where do our interests align?** What can we both gain?

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**4. Where do they conflict?** What does one person gain at the other's expense?

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**5. What are we each trying to avoid?** What losses or risks matter? (Me / Them)

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**6. What might I be missing?** Could status, identity, fairness, autonomy, or relationships matter here?

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**7. Stated vs. revealed:** What have they said they want? What have their choices shown?

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**8. Perception check:** What happened, versus what each of us thinks happened? What reference point might they be using?

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**9. Interest structure (circle one):** Mostly opposed · Mostly aligned · Mixed

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**10. Can we create value before dividing it?** Is there a dimension one of us cares about more than the other?

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**The most important question: Am I assuming their payoff is the same as mine?**

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**My next move, given this map (and one that respects their autonomy and informed choice):**

## Practice exercises

### Exercise A — Analyze the scenario

Dana runs a small marketing agency. Her best designer, Marcus, has been there four years. Dana offers him a promotion to creative director with a 15% raise, and she expects him to be thrilled. Instead, Marcus hesitates and asks for a week to think. In a hallway conversation he mentions that the new role “means a lot more meetings” and that he’d “stop doing the actual design work.” A few days later Dana learns from a colleague that Marcus was hurt that the promotion was announced to the leadership team before it was

offered to him. Dana is frustrated: “I’m offering him more money and a better title. Why is he being so difficult?” She is considering adding another 5% to close the deal. Marcus has said several times that he “doesn’t care about titles,” but last year he turned down a higher-paying offer from a larger firm.

1. What payoff is Dana assuming Marcus has, and what is the evidence that his payoff function is different?
2. List at least three currencies that may be in play for Marcus, including at least one he’s trying to avoid.
3. Is the interest structure between Dana and Marcus opposed, aligned, or mixed? Where specifically?
4. What does his past behavior (the turned-down offer) reveal compared with what he has stated?
5. Why might adding another 5% fail to solve the problem, and what would a better next move look like?

### Exercise B — Your own game

Pick a live situation from your own life where someone’s behavior frustrates or puzzles you: a coworker resisting a plan, a family member refusing a reasonable request, a client who won’t commit. Then:

1. Write down the sentence you’ve been thinking: “Why would they...” or “They’re being...”
2. Rewrite it as: “What payoff would make that behavior make sense?”
3. Complete the full Payoff Map above for this situation.
4. Answer the two questions from the book’s practical exercise: “What outcome would make this person feel that they got what they wanted?” and “What outcome would make them feel that they lost?”
5. Look for one place where you’ve been treating their stated preference as the whole story, and one recent choice of theirs that reveals something else.
6. Decide whether the interests here are truly opposed, aligned, or mixed. If they’re genuinely opposed, write that down plainly. Knowing what kind of game you’re in is useful too.
7. Draft one question you could ask them, honestly and openly, that would test your map rather than confirm it.

### Exercise C — Partner drill / role-play

**Time:** 15 minutes. **Format:** pairs, or one person with an AI practice partner.

**Setup:** Two co-owners of a small bakery are deciding what to do with this year’s \$60,000 profit.

**Player 1 (Jordan) — private brief:** You want to reinvest most of it in a second location. Privately, your biggest fear is that the business plateaus and you look like a small-time

operator to the people who doubted you. Growth and proving yourself matter a lot. You're comfortable with risk.

**Player 2 (Riley) — private brief:** You want to distribute most of the profit. Privately, you're supporting a parent with medical bills, and you've never told Jordan. Financial security matters a lot, and you're anxious about debt. You'd actually like the business to grow, just not in a way that puts your income at risk this year.

**Round 1 (5 min):** Argue positions only. Each person tries to convince the other.

**Round 2 (7 min):** Start over. This time, each person's only job is to fill in the other's Payoff Map by asking questions: What are you trying to gain? What are you trying to avoid? What would feel like a loss? Share only what you're comfortable sharing; no one is required to reveal their private brief. When you think you understand the other person's payoffs, look for a deal that creates value before dividing it.

### Debrief questions:

- In Round 1, what did you assume the other person was optimizing for? How close were you?
- Which payoffs surfaced in Round 2 that never came up in Round 1?
- Where were your interests aligned, and where were they genuinely opposed?
- Did you find an arrangement that gave each person more of what they cared about most (for example, a smaller expansion plus a guaranteed distribution)? If not, was the conflict real?
- Did anyone feel pushed or "worked" at any point? What made the difference between understanding a payoff and exploiting it?

## Quiz

1. According to the chapter, what is a payoff?
  - A) The amount of money a player receives at the end of a game
  - B) What makes an outcome better or worse for a particular player
  - C) A hidden psychological motive that people try to conceal
  - D) The reward you offer someone to change their behavior
2. Two business partners disagree about reinvesting 80% of profits versus distributing them. One prioritizes long-term growth, the other financial security. What is the best description of the situation?
  - A) One partner is being irrational
  - B) It's purely a disagreement about money
  - C) They are optimizing for different things
  - D) It's a zero-sum game

3. A buyer and seller disagree on price but both want the sale to close. This is best described as:
  - A) Opposed interests
  - B) Aligned interests
  - C) Mixed interests
  - D) A coordination problem only
4. In the Ultimatum Game, responders frequently reject offers they see as unfair even though rejection leaves them with nothing. What is the chapter's lesson from this?
  - A) The mathematical model is useless
  - B) People don't care about money
  - C) Fairness can be part of the actual payoff structure
  - D) Responders misunderstand the rules
5. Someone says "Price is my only concern," then rejects a cheaper option because it takes longer to deliver. What does the chapter suggest?
  - A) They are lying and can't be trusted
  - B) Their behavior reveals that price may not be their only concern
  - C) Delivery time is irrelevant to the game
  - D) You should ignore what people say entirely
6. A manager hands two employees the same new responsibility. One feels trusted; the other feels dumped on. Which distinction does this illustrate?
  - A) Stated versus revealed preferences
  - B) What happened versus what each person thinks happened
  - C) Zero-sum versus positive-sum games
  - D) Short-term versus long-term payoffs
7. A company changes from individual bonuses to a team bonus, and two rival employees start helping each other. What does the chapter say changed?
  - A) The people's character
  - B) Nothing; they were always cooperative
  - C) The game and its incentives
  - D) Their stated preferences
8. Which response best reflects the chapter's ethical use of payoff thinking?
  - A) "Find their hot button and push it."
  - B) "Once I understand their incentives, their behavior is justified."
  - C) "Understand the incentive structure before choosing your move, without exploiting it."
  - D) "There is always a win-win if I look hard enough."

## Field assignment

This week, catch yourself in one “Why would they do that?” moment: a moment of resistance, disagreement, or unexpected behavior from someone at work or at home. Before you respond or judge, pause and complete a quick Payoff Map, even if it’s only a few lines on your phone. Then, if it’s appropriate, ask one honest, open question to test your map, such as “What would a good outcome look like for you here?” or “What are you most worried about?”

Record: - The behavior you saw and your first interpretation of it. - The payoffs you guessed (gain and avoid) before the conversation. - What you learned from their answer or their next choice. - Whether the interests turned out to be opposed, aligned, or mixed.

**Debrief questions for next week:** 1. Where was your first interpretation based on assuming their payoff was the same as yours? 2. What payoff did you miss, and which category was it (status, fairness, autonomy, security, identity, relationship, something else)? 3. Did understanding their payoffs change your next move, or did it confirm that your interests were genuinely opposed? What did you do with that knowledge?

## The question to carry

### What payoff would make their behavior make sense?

What are they trying to gain? What are they trying to avoid? Where are our interests aligned? Where are they genuinely opposed? What am I assuming they value that they may not?

## My notes

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# Module 3 — Think in Responses

**The question:** “If I do this, what are they likely to do next? And if they do that, what will I do?”

## The tool: The Response Map

Use this before an important conversation, or after one that went sideways. Part 1 comes straight from the chapter’s practical exercise; Part 2 turns the chapter’s questions into a pre-move check.

### Part 1 — Rewind a past interaction

Pick a recent interaction that didn’t go the way you wanted. Don’t judge who was right yet. Just write the sequence.

1. What did I do?

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2. What did they do?

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3. What did I do next?

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4. What did they do next?

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5. (Continue if needed)

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- At which point did the interaction change direction?

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- What could I have predicted about their response before making my move?

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- Was there a point where both of us were responding understandably, yet things got worse?

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## Part 2 — Map an upcoming move

1. **My planned move** (what I'm about to say or do):

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2. **What I want them to do** (my intention):

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3. **Their side of the board.** Given their preferences, not mine:

Their goals:

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What they know (and don't):

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Their options:

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Their constraints (boss, money, time, reputation, emotions):

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4. **What does this move make them want to do?** List several plausible responses, not one, and a rough sense of how likely each seems:

Response A:

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(likely / possible / unlikely)

Response B:

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(likely / possible / unlikely)

Response C:

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(likely / possible / unlikely)

5. **Intention check:** Does my move actually make the response I want more attractive than their alternatives?

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6. **If they do that, what will I do?** (One line per response above.)

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7. **Where does the sequence lead?** (High stakes only.)

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8. **Eliminate:** Is there any option I already know I shouldn't take regardless of what they do?

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9. **Threat check** (if a threat is involved, theirs or mine): When the moment comes, would carrying it out actually be the best response?

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10. **Pattern check:** What pattern will this move create if it repeats?

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11. **Relevance filter:** Which response could materially change the outcome? Ignore the rest.

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12. **After the conversation — update:** What did they actually do? Where was my prediction off, and what did I misunderstand about the game?

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## Practice exercises

### Exercise A — Analyze the scenario

Dana leads a five-person operations team at a mid-sized logistics company. At her first team meeting she told everyone, "If something goes wrong, tell me right away. No

surprises.” Two weeks later, Marcus, a junior coordinator, came to her desk and admitted he’d booked a shipment to the wrong warehouse, which would delay a client order by two days. Dana was under pressure from her own boss that week. She raised her voice, said “This is exactly the kind of careless mistake I can’t afford,” and later mentioned the error, by name, in the weekly team meeting as an example of what not to do. Marcus fixed the booking and apologized. Dana felt she had handled it firmly and set a clear standard. A month later, a much larger shipping error surfaced only when the client called to complain; two people on the team had known about it for a week. Dana told her boss, “I don’t understand it. I specifically told them to come to me.”

1. What did Dana intend her reaction to Marcus to produce, and what did it actually make attractive for the team?
2. Write the sequence of moves using the Response Map, Part 1. Where did the interaction change direction?
3. Why might Dana’s statement, “I specifically told them to come to me,” be beside the point strategically?
4. Use backward reasoning: if Dana wants early disclosure of mistakes, what would the team need to expect, and where does that expectation come from?
5. What could Dana do now, and what responses should she anticipate?

### Exercise B — Your own game

Choose a live situation where you’ll need to make an important move in the next week or two: a request, a hard piece of feedback, a boundary, a negotiation, or a reply to a message you’re tempted to answer fast.

1. Complete Part 2 of the Response Map. Be specific about the other person’s goals, information, options, and constraints. If you notice yourself writing “If I were them, I’d...”, stop and rewrite it from their payoffs.
2. List at least three plausible responses. Next to each, write “likely,” “possible,” or “unlikely.” Replace certainty with branches.
3. For the most likely response, write what you will do. Then write what they are likely to do after that. Stop there unless the stakes are high.
4. Run the intention check: Does your planned move make the response you want genuinely more attractive to them? If not, what change to the move (timing, setting, framing, what you offer, what you ask) would?
5. Run the elimination check: Is there a move you were considering that you now see is worse for you no matter how they respond? Cross it off.
6. After the conversation, complete step 12. Write one sentence about what you misunderstood about the game, if anything.

### Exercise C — Partner drill / role-play

**Format:** Pairs (or one learner with an AI practice partner). 12–15 minutes.

**Setup:** A small business owner, Jordan, is renegotiating a monthly contract with a freelance designer, Riley. Jordan wants a lower rate. Riley wants to keep the rate.

**Jordan's private information (Player 1):** You want to cut the rate by 15%. You've told yourself you'll "walk away" if Riley says no. Privately, you know that replacing Riley would take at least six weeks and that your product launch is in four weeks.

**Riley's private information (Player 2):** Riley's other clients currently fill about 70% of capacity. Losing Jordan would hurt but wouldn't be catastrophic. Riley also suspects Jordan has a launch coming up, but doesn't know the date.

**Round 1 (4 min):** Jordan opens by stating the threat: "I need a 15% cut, or I'll have to find someone else." Play it out naturally.

**Round 2 (4 min):** Before replaying, Jordan spends 60 seconds silently answering: "If Riley says no, will walking away actually be my best response?" and "What does my opening make Riley want to do?" Riley spends 60 seconds answering: "If I refuse, what will Jordan really do at that moment?" Replay with new openings.

**Debrief questions (5 min):**

- In Round 1, was Jordan's threat credible? How did Riley decide?
- What did each player predict the other would do, and how did that prediction compare with what happened?
- Where did either player project their own preferences onto the other?
- Which response in the conversation could have materially changed the outcome? Which ones didn't matter?
- Did Jordan's Round 2 opening make the response Jordan wanted more attractive to Riley, or just state it more firmly?
- Ethics check: did either player rely on a threat or claim they didn't believe? What did that cost, or risk costing, in a relationship that will continue?

## Quiz

1. According to the chapter, what is a best response?
  - A) The response that is most polite and respectful
  - B) The action that gives a player the best outcome given what the other player is doing
  - C) The first response that comes to mind under pressure
  - D) The action that would be best if the other player didn't exist
2. A manager tells the team to collaborate more, but pays bonuses only for individual results. Salespeople keep guarding their leads. What is the best diagnosis?
  - A) The team didn't hear the message clearly
  - B) The team is irrational
  - C) Their incentives make another response more attractive than collaboration

- D) The manager needs to repeat the message more forcefully
3. Which question does the chapter recommend for predicting someone's response?
- A) "What would a reasonable person do?"
  - B) "What would I do in their position?"
  - C) "What should they do?"
  - D) "Given their goals, information, options, and constraints, what is the most likely response?"
4. You're choosing between two options, and Option A leaves you worse off than Option B no matter what the other person does. What does the chapter suggest?
- A) Predict the other person's move carefully before deciding
  - B) Eliminate Option A without needing to predict them
  - C) Choose A to keep the other person guessing
  - D) Ask the other person which option they prefer
5. Someone says, "If you do that, I'm walking away." How should you assess this threat?
- A) By how forcefully and confidently it was said
  - B) By whether walking away would actually be their best response when that moment arrives
  - C) By assuming all threats are bluffs
  - D) By making a bigger threat in return
6. Which statement best describes the escalation trap?
- A) One person deliberately decides to make the interaction worse
  - B) A bad outcome emerges from a sequence of locally understandable responses
  - C) Escalation only happens between people who dislike each other
  - D) Escalation can always be stopped by the person who started it
7. In Johnson, Camerer, Sen, and Rymon's sequential bargaining study, what happened when participants were trained in backward induction?
- A) Nothing changed; people kept offering about an equal split
  - B) Their offers to computerized opponents moved close to the theoretical prediction
  - C) They refused to make any offers
  - D) They proved that backward induction predicts everyday conversation exactly
8. You predicted a colleague would welcome your proposal, but they pushed back hard. What is the best next step according to the chapter?
- A) Conclude they're being irrational and move on
  - B) Repeat your proposal until they agree
  - C) Ask, "What did I misunderstand about the game?" and update your model
  - D) Stop making predictions about people altogether

## Field assignment

**This week, run “Then what?” before three moves that matter.** Pick three moments where you’re about to say something important: a request, a reply to a frustrating message, a piece of feedback, a “no.” Before each one, take 60 seconds and write:

- My move:
- What I want them to do:
- Their two or three most plausible responses (with likely / possible / unlikely):
- If they do the most likely thing, what will I do?

After each interaction, record what they actually did and whether your prediction was right, partly right, or wrong. Also, once this week, notice a feedback loop in progress (in a meeting, at home, online). Note who moved, how the other person seemed to interpret it, and whether it was escalating or settling.

**Debrief questions for next week:** 1. How often did the response you predicted match the response you got? When it didn’t, what had you misunderstood about their goals, information, options, or constraints? 2. Did asking “Then what?” change any move before you made it? What did you change, and what happened? 3. In the feedback loop you observed, where could one well-chosen response have changed the direction of the sequence?

## The question to carry

**“What is this likely to make them do? If they do that, what will I do? And if the stakes are high, where does that sequence lead?”**

## My notes

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# Module 4 — Manage Predictability

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**The question:** What does my predictability enable the other player to do?

## The tool: The Predictability Audit

Use this worksheet on one relationship or recurring interaction where you suspect a pattern is shaping the game.

### Step 1 — Name the interaction

The person or group:

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The recurring situation (meeting, negotiation, household routine, request):

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### Step 2 — Find the pattern

What do I repeatedly do in this situation?

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What have my past actions taught this person to expect from me?

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Have I taught this person how to respond to me? If so, what is the rule they've learned (finish the sentence "If I , **she/he will** ")?

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Did I ever consciously choose this rule, or did my repeated behavior establish it?

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### Step 3 — Calculate the predictability tax

What information does this pattern reveal that I didn't intend to reveal (my limits, my availability, my flexibility, whether my threats or boundaries are real)?

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Is any of my stated position contradicted by my pattern (a threat never followed through, a boundary never enforced)?

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#### Step 4 — Asset or liability?

Who benefits from knowing what I'm going to do? (Circle one: both of us / mainly them / mainly me)

Is this pattern helping me?

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Is it helping them?

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Is it helping both of us?

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Could they exploit this pattern? How?

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Check any that apply. This pattern currently: - ☐ creates trust, cooperation, or a credible commitment - ☐ helps others coordinate with me - ☐ shows people exactly how to pressure me - ☐ reveals threats, concessions, or unenforced boundaries

#### Step 5 — Choose your move

Would greater consistency create trust — or greater flexibility create strategic room?

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Which of the four moves fits? (Circle one) - **Be predictable** — trust, coordination, credibility, or cooperation are valuable here. - **Protect my predictability** — revealing my pattern gives them leverage. - **Vary my behavior** — they could otherwise exploit a fixed pattern. - **Be deliberately consistent** — I want them to understand a consequence is real.

The specific behavior I'll change or reinforce:

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## Step 6 — Ethics check

Am I protecting legitimate information or providing false information?

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Could my change destabilize someone's sense of security or make me harder to trust in a relationship where reliability matters?

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## Practice exercises

### Exercise A — Analyze the scenario

Dana is a senior designer at a marketing agency. For two years, whenever account manager Rob brings her an “urgent” client revision on Friday afternoon, she stays late and finishes it. Lately the Friday requests have multiplied, and several had been sitting in his inbox since Tuesday. Dana has complained twice in team meetings that “people need to plan better,” and once told Rob she “wouldn’t keep doing this.” She stayed late both times anyway. Meanwhile, Dana is also the person her team relies on to review junior designers’ work every Thursday morning, and the juniors have built their weekly schedules around that review. Dana is now frustrated and is considering becoming “harder to read” across the board so nobody takes her for granted.

1. What rule has Rob learned from Dana’s behavior, and did she ever choose to create it?
2. What is Dana’s predictability tax here? What information has her pattern revealed?
3. Which of Dana’s patterns is an asset and which is a liability? Why?
4. Is “becoming harder to read across the board” a good plan? What would you recommend instead, using the four moves?
5. How can Dana change the pattern without deception?

### Exercise B — Your own game

Pick one live situation where you suspect someone has learned to predict you — a coworker who always comes to you, a negotiation partner, a family member, a client, a teenager. Then:

1. Complete Steps 1–3 of the Predictability Audit. Write the rule they’ve learned in one sentence, starting with “If I , **they will** .”
2. In Step 4, list one way this pattern helps both of you and one way it could be exploited. If you can’t find an exploitation risk, that’s useful information too — this may be a pattern to protect.

3. In Step 5, choose one of the four moves. Write the exact words you'll use or the exact behavior you'll repeat (or stop repeating) the next three times this situation comes up.
4. Run the Step 6 ethics check. If your plan involves saying anything false, rewrite it so you are withholding rather than misrepresenting.

### **Exercise C — Partner drill / role-play**

**Format:** Pairs, 15 minutes (or with an AI practice partner). Two rounds.

#### **Round 1 — The concession pattern (6 min)**

**Setup:** A freelance photographer (Seller) is quoting a corporate event. A procurement manager (Buyer) wants the lowest price.

**Seller's private card:** Your opening quote is \$4,000. Your true minimum is \$3,000. For this round, you must follow a fixed rule: every time the Buyer rejects your number, drop by \$300. Don't tell the Buyer the rule.

**Buyer's private card:** You have budget up to \$4,000 but want to pay as little as possible. Your job is to figure out the Seller's pattern and use it. Ask at least once, "What's the lowest you'll accept?"

Play for four minutes. Then the Buyer states the rule they think the Seller was following.

#### **Round 2 — Managing predictability (6 min)**

Same roles, same private numbers, but the Seller now has no fixed rule. The Seller must (a) decline to disclose the bottom line honestly, (b) tie any movement to a reason or a change in scope rather than to rejection alone, and (c) say nothing false. The Buyer again tries to find a pattern.

#### **Debrief (3 min)**

- In Round 1, how many rejections did it take the Buyer to learn the pattern? What did the Seller's behavior reveal that their words didn't?
- In Round 2, how did "I'm not prepared to disclose my bottom line" change the Buyer's decision-making?
- Did the Seller ever say anything untrue? Where was the line between protecting information and deceiving?

### **Quiz**

1. According to the chapter, what is the core principle of managing predictability?
  - A) Never let people know what you're going to do.
  - B) Always be consistent so people trust you.
  - C) Don't allow your patterns to become so predictable that other people can consistently use them against you.
  - D) Randomize your behavior in every competitive situation.

2. In rock-paper-scissors, you know your opponent chooses rock 70 percent of the time. What does this illustrate?
  - A) You need to know their exact next move to gain an advantage.
  - B) Knowing someone's pattern is enough to adjust your behavior and gain an advantage.
  - C) Mixed strategies only work in games of pure chance.
  - D) Predictability matters only when the other player is irrational.
3. A negotiator always concedes from \$100 to \$90 to \$80. What is the "predictability tax" here?
  - A) The cost of making three offers instead of one.
  - B) The pattern reveals there's more room, so the other side keeps pushing.
  - C) The negotiator must pay a fee for each round.
  - D) The other side will refuse to negotiate.
4. Someone interrupts you in three meetings and you let it go each time. What has most likely happened?
  - A) Nothing; one-off choices don't create patterns.
  - B) You've established a rule — interrupting you has no cost — even though you never intended to.
  - C) You've used a mixed strategy effectively.
  - D) You've built trust that will reduce future interruptions.
5. Which situation is the best example of predictability creating value?
  - A) A competitor always matches your price cuts.
  - B) A parent who always gives in after a third request.
  - C) A manager who says rule violations will have consequences and consistently enforces it.
  - D) A poker player who bluffs frequently.
6. A buyer asks, "What's the lowest price you'll accept?" Which response best fits the chapter?
  - A) Give a number well above your real minimum and call it your floor.
  - B) Give your true minimum to show good faith.
  - C) "I'm not prepared to disclose my bottom line."
  - D) Change the subject without acknowledging the question.
7. You're trying to rebuild trust with a friend after missing several commitments. What does the chapter recommend?
  - A) Become less predictable so they stop taking you for granted.
  - B) Become more predictable: if you say you'll call, call.
  - C) Make fewer statements so there's less to be held to.
  - D) Vary your follow-through so they can't exploit you.

8. In a repeated Prisoner's Dilemma, you're known to always retaliate against defection. According to the chapter, this predictability:
- A) Always makes you exploitable.
  - B) Is irrelevant because the game is repeated.
  - C) Can support cooperation — showing that the same predictability that's exploitable in one game can make you trustworthy in another.
  - D) Should be replaced with random retaliation.

## Field assignment

**This week: run a pattern log.** Choose one recurring interaction — a weekly meeting, a regular request from a colleague, a household routine, a client relationship. Each time it happens, write down three things: what you did, how the other person responded, and what they might have learned about you from that exchange.

By midweek, complete the Predictability Audit, choose one of the four moves, and carry it out on purpose for the rest of the week. Stay honest throughout — no false statements.

Record: - The rule you think the other person had learned before the week started. - Any sign that they noticed a change (testing, surprise, adjustment, relief). - Whether the change made the interaction better for you, for them, or for both of you.

**Debrief questions for next week:** 1. What had your past actions taught this person to expect from you — and how accurate was your guess once you watched closely? 2. Did they adapt to your new pattern? What does that tell you about the feedback loop of action, response, learning, and adaptation? 3. Where in your life would greater consistency create trust, and where would greater flexibility create strategic room?

## The question to carry

**Have I taught this person how to respond to me? What have my past actions taught this person to expect from me?**

## My notes

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# Module 5 — See the Equilibrium

**The question:** What equilibrium have we created?

## The tool: The Equilibrium Audit

Use this when you find yourself stuck in a recurring interaction. Work through it in writing, at a calm moment, not in the middle of the argument.

**The situation (one line):**

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**1. What keeps happening?** Forget the individual incident. Describe the repeated pattern as a loop (my move, their response, my response...).

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**2. What does my behavior cause them to do?**

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**3. What does their behavior cause me to do?**

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**4. Why might neither of us want to change unilaterally?** If I changed alone, what would I risk? If they changed alone, what would they risk? Me:

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Them:

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**5. Is this pattern actually good for either of us?** What does each of us get from maintaining it? What does it cost each of us?

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**6. Are there alternative stable patterns?** Describe at least one other pattern that could hold steady if we both settled into it.

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**Equilibrium check:** Is this really equilibrium-like, or is it held in place by something else (habit, a rule, coercion, lack of awareness)? Would changing alone actually make someone worse off?

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**The most important question: What would have to change for a different pattern to become attractive?** Check any levers that apply, then describe one: - ☐ My response - ☐ The sequence (who moves first, when) - ☐ The incentives - ☐ New information - ☐ A commitment - ☐ A third party - ☐ Expectations about what the other will do - ☐ The available choices

My first experiment:

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## Practice exercises

### Exercise A — Analyze the scenario

Priya and Marcus co-lead a product team. Every Friday, Priya sends Marcus a long status email flagging risks she sees in his part of the project. Marcus has started replying with a short “Noted, thanks” and handling the issues on his own without updating her. Because she hears nothing, Priya assumes the risks aren’t being handled, so the next Friday’s email is longer and copies their director. Marcus reads the cc as Priya trying to make him look bad, so he shares even less and starts sending his own updates straight to the director. Both privately tell colleagues they’d like a real partnership. Both say the other one started it. Last month Marcus tried skipping his separate update to the director “to be the bigger person,” and the director asked him in a meeting why he’d gone quiet, which embarrassed him.

1. Describe the pattern as a loop of mutual responses.
2. Why does each person’s current behavior make sense given the other’s?
3. Why did Marcus’s unilateral change backfire, and what does that show about this pattern?
4. Is this a formal Nash equilibrium? How should you describe it honestly?
5. What would have to change for a different pattern to become attractive to both?

### Exercise B — Your own game

Choose a recurring interaction in your life that frustrates you: the same argument with a partner or family member, a standoff with a coworker, a meeting that always goes the same way, a negotiation that keeps stalling. Pick one where you're tempted to say, "It's their fault."

1. Fill in the Equilibrium Audit above for this situation. Write the pattern as a loop, at least five steps long.
2. For question 4, be specific: name the exact cost you fear if you change alone. Then write the cost you think they fear. If you can't name theirs, write your best guess and mark it "untested."
3. Run the equilibrium check. Would changing alone really leave you worse off, or is something else holding this in place?
4. Name one alternative stable pattern. Then pick one lever from the list and design a small, honest experiment, ideally one that lowers the other person's risk of changing too, not just yours.
5. Complete: "Regardless of who started it, what keeps it going now is \_\_\_\_." Keep this page for the field assignment.

### Exercise C — Partner drill / role-play

**Time:** 15 minutes. **Players:** two people plus an optional observer (or one person with an AI practice partner).

**Setup:** Two roommates share an apartment. The kitchen is always messy. Each round, each player privately decides whether to "Clean" or "Wait."

**Player A privately knows/wants:** You'd love a clean kitchen. But last month you cleaned three times in a row and your roommate never did. You've decided you won't clean again until they do. You think: "If I clean and they don't, I'm the doormat."

**Player B privately knows/wants:** You'd love a clean kitchen too. But you work late, and whenever you've cleaned, your roommate rearranged everything "the right way," which felt like criticism. You think: "If I clean, I'll get corrected. Better to wait."

**Round 1 (4 min):** Play the conversation in character as it usually goes. Each player makes the move that seems sensible from their private view. The observer writes down the loop.

**Round 2 (4 min):** Player A tries a unilateral change (cleans without comment, or stops mentioning the kitchen) while Player B keeps the same private beliefs. Notice what happens.

**Round 3 (5 min):** Both players step out of character for 60 seconds and share their private "what I fear if I change alone." Then replay, this time looking for a change to the

structure: a schedule (sequence), a shared standard (information), a simultaneous commitment, or a different division of chores (available choices).

**Debrief questions:** 1. In Round 1, did either player behave irrationally given what they believed? What kept the pattern stable? 2. What happened to the unilateral change in Round 2? Did it shift the other player's expectations, or get misread? 3. Which lever in Round 3 made a different pattern attractive to both? Why did it work better than good intentions?

## Quiz

1. In game theory, a Nash equilibrium is best described as:
  - A) The outcome that gives everyone the highest possible payoff
  - B) A combination of strategies in which each player's strategy is a best response to the others'
  - C) A fair agreement that all players have explicitly accepted
  - D) The outcome most people will choose in the real world
2. Which statement about equilibrium is true according to the chapter?
  - A) If a pattern is stable, it must be good for at least one person
  - B) An equilibrium requires an explicit agreement
  - C) A pattern can be stable even if everyone involved dislikes it
  - D) Equilibria only occur when someone acts irrationally
3. In the Prisoner's Dilemma, why do both players end up defecting?
  - A) They don't realize mutual cooperation would be better
  - B) Regardless of what the other does, defecting looks like each player's best response
  - C) One player tricks the other into defecting
  - D) The rules forbid cooperation
4. Dana and her brother haven't called each other in months. Dana says, "He never calls me." Her brother says, "I'm always the one who has to reach out." Which question best reflects this module's approach?
  - A) "Which of them is being unreasonable?"
  - B) "What should Dana say on the next call?"
  - C) "What pattern are their responses creating, and why is it stable?"
  - D) "How can Dana get her brother to admit he's wrong?"
5. A friend says, "My partner and I fight constantly. I'm just going to stop engaging." Based on the chapter, what's the most important caution?
  - A) Stopping engagement always resolves conflict
  - B) A unilateral change may initially make things worse if the partner reads silence as abandonment

- C) The friend should engage even more forcefully instead
  - D) Nothing can change once an equilibrium exists
6. What is the “equilibrium-selection problem”?
- A) Choosing which player is responsible for the bad pattern
  - B) Knowing the possible stable outcomes without knowing which one people will land on
  - C) Selecting the best possible outcome for yourself
  - D) Deciding whether to use game theory at all
7. A new hire at a firm where everyone stays until 7 p.m. starts staying late too, worried that leaving at five would look uncommitted. This best illustrates:
- A) An equilibrium sustained by expectations about what others will do
  - B) A written company policy
  - C) A one-shot Prisoner’s Dilemma with a unique cooperative outcome
  - D) Proof that everyone at the firm prefers working late
8. The Charness, Rigotti, and Rustichini experiments found one-shot Prisoner’s Dilemma cooperation ranging from 23% to 60% depending on the payoffs. What is the most accurate takeaway?
- A) Nash equilibrium perfectly predicts human behavior
  - B) Game structure is irrelevant to how people behave
  - C) Payoff structure shapes behavior, but the simple money-only Nash prediction doesn’t fully describe real people
  - D) People always cooperate when given the chance

## Field assignment

**This week: catch one equilibrium in the wild and run one experiment.**

1. **Observe (days 1 to 3):** Choose one recurring interaction, either the one from Exercise B or a new one. Each time it happens, jot down the loop as it unfolds: their move, your response, their response. Don’t try to fix anything yet. Note any moment where you reacted to what you expected them to do rather than what they actually did.
2. **Audit (day 4):** Complete the Equilibrium Audit using your notes. Run the equilibrium check honestly. Is this really held in place by the cost of changing alone, or by something else?
3. **Experiment (days 5 to 7):** Pick one lever (sequence, information, a commitment, expectations, the available choices) and try one small, honest change. Changes that lower the other person’s risk of changing too work better than asking them to go first. For example, you might name the pattern without blame: “I think we’ve gotten into a loop where I ask late and you say no, and we both end up frustrated. Could we try

setting a weekly check-in?” Do not use what you’ve learned to corner, trick, or pressure anyone. The aim is a better pattern both of you would choose freely.

4. **Record:** What happened? Did the other person respond differently, the same, or worse at first? What did you learn about what keeps the pattern stable?

**Debrief questions for next week:** 1. When you mapped the loop, what did you see that you hadn’t seen when you looked only at individual incidents? 2. What made changing alone risky, for you and, as best you could tell, for them? Were your guesses about their fears confirmed or wrong? 3. Did your experiment change the other person’s expectations? If not, what would you change about the structure next time?

## The question to carry

**What equilibrium have we created? Why is it stable? What does each of us get from maintaining it? What makes changing it risky? Are there other equilibria available? And what would have to change for us to move toward one of them?**

## My notes

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# Module 6 — Map Information & Beliefs

**The question:** “What do they know—or believe—that I don’t?”

## The tool: The Information Map

Use this before any important interaction, or after one that confused you. The first seven questions are the chapter’s Information Map. The sorting table and the final checks help you keep facts, beliefs, and assumptions in separate columns.

**The situation:**

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**The other player(s):**

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### Part 1 — The seven questions

1. **What do I know?** (Separate facts from assumptions.)

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2. **What don’t I know?** (Identify the uncertainty.)

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3. **What do they know that I don’t?** (Look for information asymmetry.)

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4. **What do I know that they don’t?** (Recognize your own informational advantage.)

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5. **What do I think they believe?** (Model their beliefs.)

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6. **What do they think I believe?** (If the stakes are high, this matters too.)

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## 7. What evidence could change my mind? (Protect yourself from your own assumptions.)

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### Part 2 — Sort it

| Layer                  | Question                                                    | My answer   |
|------------------------|-------------------------------------------------------------|-------------|
| Facts                  | What do I actually know happened? (Observable, verifiable.) | <hr/> <hr/> |
| Unknowns               | What relevant information am I missing?                     | <hr/> <hr/> |
| Beliefs                | What do I currently think is true?                          | <hr/> <hr/> |
| Assumptions about them | What am I assuming they know or believe?                    | <hr/> <hr/> |

For each belief, mark your confidence: **I know** / **I have good evidence** / **I suspect** / **I'm guessing**.

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### Part 3 — Shared or common?

- Is the key information actually in their information set? What evidence do I have that they know it?

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- Do we both know that we both know it, or am I assuming it's shared?

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### Part 4 — Messages I'm relying on

- What did they tell me that matters?

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- What do they gain if I believe it? What would it cost them if it were false?

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- How could I verify it?

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- **Why should I believe it?**

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## Part 5 — Decision-relevant information

- What single piece of information would change my decision, or theirs?

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- How can I get it (ask, observe, verify, share)?

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## Practice exercises

### Exercise A — Analyze the scenario

Dana manages a five-person analytics team. On Friday, the quarterly report Jordan owned went out two days late, and Dana's director asked her about it in front of other managers. Dana had told the team on Monday that "the director is watching this one closely," but she said it in a quick hallway exchange that Jordan wasn't part of. Jordan had sent a message mid-week saying "Still waiting on finance's numbers," and Dana, skimming it on her phone, read it as a routine status update. On Friday afternoon, Dana writes to Jordan: "We need to talk Monday about ownership." Jordan, who stayed late Thursday rebuilding the model after finance finally delivered, reads the message as a sign that Dana thinks he's careless. Over the weekend, he tells a friend, "She already knows finance was late. She just wants someone to blame." Dana, meanwhile, believes Jordan didn't flag the risk because he doesn't take the director's priorities seriously.

1. Sort what Dana knows (facts) from what she believes and what she's assuming.
2. What information asymmetries exist in each direction?
3. Identify at least one higher-order belief and one place where Dana treated shared information as common knowledge.
4. How could the beliefs on both sides become self-fulfilling?
5. What information would change either person's decision, and how should Dana open Monday's conversation?

## Exercise B — Your own game

Pick a live situation where someone's behavior is confusing, frustrating, or worrying you: a coworker who has gone quiet, a family member who reacted oddly, a client who stopped responding, a negotiation that stalled.

1. Write one sentence describing what happened, using only observable facts. No adjectives about motives.
2. Write your current interpretation. Label it: "Hypothesis."
3. Work through all five parts of the Information Map.
4. List at least three other explanations for the behavior. Use the chapter's list: are they withholding, do they not know themselves, is the information unavailable, have you not asked, or have you misread ambiguous evidence?
5. For your hypothesis, write one piece of evidence that would support it and one that would contradict it.
6. Identify one thing you know that they may not, and decide whether sharing it would change the game for the better.
7. Decide on a single next step that gathers decision-relevant information honestly, such as a direct question or a check-in, rather than a move based on an untested belief.

## Exercise C — Partner drill / role-play

**Time:** 15 minutes. **Players:** two people (or one person plus an AI practice partner), plus an optional observer.

**Setup:** A small business owner (Player 1) is considering hiring a freelance designer (Player 2) for a three-month website project.

**Player 1 privately knows:** The budget is firm at the quoted amount, but the deadline is more flexible than the posting suggests. A previous freelancer missed deadlines badly, so Player 1 is nervous about reliability. Player 1 has one other candidate, who is cheaper but less experienced.

**Player 2 privately knows:** They're strong at design but have never built a site this size. They have another offer that starts in six weeks and would overlap. They really want this client for their portfolio.

**Round 1 (5 min):** Have the conversation. Each player tries to learn what matters and decides what to share. No lying about material facts; you may keep things private.

**Round 2 (5 min):** Stop. Each player silently fills in Part 1 of the Information Map: what I know, what I think they know, what I think they believe about me. Then compare maps out loud. Where were you right? Where were you wrong?

**Round 3 (5 min):** Replay the last part of the conversation, this time asking the one question whose answer would most change your decision.

## Debrief questions

- Which of your beliefs about the other person turned out to be assumptions?
- Which claims did you treat as strong evidence, and which as cheap talk? What made the difference?
- What did you keep private, and was that different from deceiving? Did the other person have what they needed for an informed choice?
- What single piece of information changed the game most when it came out?

## Quiz

1. According to the chapter, what do people base their decisions on?
  - A) The objective facts of the situation
  - B) The game as they perceive it
  - C) Whatever the most powerful player tells them
  - D) Their payoffs alone, regardless of beliefs
2. In the bank-run example, what helps produce the outcome people fear?
  - A) The bank's hidden accounting fraud
  - B) Government regulation
  - C) What depositors believe other depositors will do
  - D) A single large withdrawal by an insider
3. A coworker says, "Trust me, this vendor is the best option." Which question from the chapter best tests the claim?
  - A) "Is my coworker a nice person?"
  - B) "What does this person have to lose by making this claim?"
  - C) "How confidently did they say it?"
  - D) "Have I heard this vendor's name before?"
4. Which statement about cheap talk matches the chapter?
  - A) It is always worthless because it is costless.
  - B) It is the same thing as lying.
  - C) It can convey meaningful information, especially when interests are aligned.
  - D) It only exists in formal games, not in everyday life.
5. "I think my manager believes I think she's micromanaging me." This is an example of:
  - A) A costly signal
  - B) A higher-order belief
  - C) Common knowledge
  - D) Information asymmetry about type

6. A team lead tells three of six members that Friday's meeting is canceled. The other three show up. What was missing?
  - A) Payoffs
  - B) A costly signal
  - C) Common knowledge that the information was shared
  - D) A focal point based on reputation
7. Your partner hasn't replied to "Can we talk?" for three hours. What does the chapter recommend first?
  - A) Assume they're avoiding you and respond in kind
  - B) Send several more messages until they answer
  - C) Treat "they're angry" as a hypothesis and ask what evidence would support or contradict it
  - D) Assume they're deliberately withholding information
8. What does the Costa-Gomes and Weizsäcker experiment suggest?
  - A) People always best respond to their stated beliefs.
  - B) Stated beliefs are meaningless.
  - C) People often fail to best respond to their own stated beliefs, so knowing a belief doesn't guarantee predicting behavior.
  - D) More information always leads to better choices.

## Field assignment

This week, catch yourself in one moment of confusion about someone's behavior: an unanswered message, a cool response in a meeting, an unexpected "no." Before you react, take two minutes and run the Information Map, at least Part 1 and the confidence labels in Part 2. Then take one honest step to get decision-relevant information: ask a direct question, share something you know that they might not, or verify a claim you were relying on.

Record: the situation; your first interpretation; your confidence label before; what you learned; and whether your belief survived, changed, or collapsed.

**Debrief questions for next week** 1. How far apart were your first interpretation and what you eventually learned? 2. Did you discover any information the other person lacked, or any you lacked? What changed once it was shared? 3. Where else in your life might a belief, yours or theirs, be sustaining a pattern that new information could change?

## The question to carry

"What do they know—or believe—that I don't?"

Then ask: What do I actually know? What am I assuming? What might they be assuming? What information would change either of our decisions? And when someone tells you something important, don't stop at "What did they say?" Ask: **"Why should I believe it?"**

## My notes

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# Module 7 — Separate Words From Credibility

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**The question:** What makes this message credible?

## The tool: The Credibility Test

Use this for high-stakes claims. You don't need it when someone tells you where the restroom is.

**The claim (in their words):**

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**Who said it, and what decision of mine does it affect?**

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### Part 1 — The eight questions

1. **Do they know?** Are they actually in a position to possess this information?

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2. **What do they want me to believe?** State the message in one sentence.

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3. **What happens if I believe them?** How does my response affect their payoff?

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4. **Would they say this even if it were false?** (Yes / No / Partly.) If yes, the words alone may not be highly informative.

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5. **What evidence supports the claim?** List what is assertion and what is verification.  
Assertion:

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Verification:

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6. **What does their behavior suggest?** Behavior as evidence, not proof. Was the stated claim ever tested?

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7. **What does their history suggest?** What happened when they made similar claims before?

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8. **What would make this claim costly to fake?** Is there a signal that would be easier for them if the claim were true?

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## Part 2 — Separate the dimensions

| Dimension                                           | My rating (high / medium / low / unknown) | Why            |
|-----------------------------------------------------|-------------------------------------------|----------------|
| Honesty (do they report what they believe?)         | _____                                     | _____<br>_____ |
| Knowledge (are they in a position to know?)         | _____                                     | _____<br>_____ |
| Incentive alignment (does their payoff match mine?) | _____                                     | _____<br>_____ |

## Part 3 — Persuasive versus credible

- How convincing did the message feel? (Confidence, charisma, emotion, delivery):

- 
- 
- How credible is the underlying claim, based on Parts 1 and 2?

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- 
- Did it change my mind, or did it give me good reason to change my mind?
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## Part 4 — Next step

- What independent verification is available (inspection, reference, record, third party)?

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- What would I need to see to update my belief up or down?

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- Am I being appropriately careful, or am I sliding into cynicism?

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## Part 5 — Speaker's side (when you're the one making the claim)

- What reason does the other person have to believe me?

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- Would someone in my position say this even if it were false?

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- How can I make my truthful claim easier to evaluate (evidence, demonstration, references, guarantee, documentation, consistency between words and behavior)?

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- Is my problem a message problem or a credibility problem?

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## Practice exercises

### Exercise A — Analyze the scenario

Dana runs a small marketing agency and is choosing a new web developer for a large client project. Two candidates make their pitch. Marcus is polished and energetic. He says, "I've never missed a deadline in my career, and I'm the best React developer you'll find in this city." He speaks without hesitation, has a beautifully designed slide deck, and offers a 10 percent discount if Dana signs this week. When she asks for references, he says his past clients are "under NDA, but trust me, they were thrilled." Priya is quieter and a bit awkward on the call. She says, "I think I can hit your timeline, but the payment integration is the risky part, and I'd want a week to scope it." She sends links to three live sites she built, names two former clients Dana can call, and proposes being paid in milestones tied

to working deliverables. Dana's business partner, who has known Marcus socially for years, says, "Marcus is a great guy. He'd never lie to you."

1. Apply "Would they say this anyway?" to Marcus's two main claims.
2. Which parts of each pitch are cheap talk, and which are signals or verification?
3. Separate honesty, knowledge, and incentives for the business partner's endorsement.
4. Where is Dana at risk of confusing persuasiveness with credibility?
5. What could Dana do next to improve her information, without becoming cynical toward either candidate?

### Exercise B — Your own game

Pick a live situation in which a claim matters to a decision you are about to make. It could be a vendor's promise, a colleague's estimate, a contractor's quote, a family member's advice, or a news claim you're tempted to act on.

1. Write the claim in the speaker's exact words.
2. Run the full Credibility Test (Parts 1 through 4).
3. Circle the single weakest link: knowledge, incentives, evidence, behavior, or history.
4. Identify one piece of independent verification you could get this week, and decide whether the stakes justify getting it.

Then flip it. Pick a situation in which you are telling the truth but aren't being believed, or soon need to be: a deadline promise, a request for a raise, a reassurance to a partner, a sales claim.

1. Complete Part 5 of the tool. Answer honestly: would someone in your position say this even if it were false?
2. Write down two concrete ways to make your truthful claim easier for the other person to evaluate. At least one should be something they can check without relying on your word.
3. Check the ethics. Does each step make the truth easier to see, or only make you look credible? Keep only the first kind.

### Exercise C — Partner drill / role-play

**Setup (15 minutes, pairs or groups of three).** One person is the **seller**, one is the **buyer**, and an optional third is the **observer**. The seller is selling a used bicycle (or a laptop, or a sublet apartment) for a price set in advance.

**Private information.** Before starting, the seller draws a card that the buyer does not see:

- Card 1: "The item is in excellent condition. Everything you say about it is true."
- Card 2: "The item has a hidden flaw (a cracked frame, a failing battery, a noisy upstairs neighbor). You don't have to volunteer it, but you may not state a direct falsehood if asked."

**Round 1 (4 minutes).** The seller makes claims about the item. The buyer may ask questions but may not request any verification. At the end, the buyer guesses which card the seller holds and rates their confidence from 1 to 10.

**Round 2 (4 minutes).** Repeat with a new card draw. This time the buyer may ask for verification: “Can I have it inspected?” “Will you offer a two-week return?” “Can I talk to the previous owner?” The seller decides what to offer. A seller with Card 1 may offer anything. A seller with Card 2 must honor any guarantee they make, meaning the flaw would be discovered and the money refunded.

**Debrief (5 to 7 minutes).**

- In Round 1, did the buyer’s guess track the truth, or the seller’s confidence and charm?
- Which seller statements would have been said regardless of the card?
- In Round 2, which offers were easier for a Card 1 seller than a Card 2 seller? Why did those carry more information?
- Sellers holding Card 1: how did it feel to be doubted when you were telling the truth? What made it easier for the buyer to believe you?
- Did anyone treat a request for inspection as an insult? What does the chapter say about that?

**AI practice-partner version.** Ask an AI to play a seller who has secretly chosen one of the two cards, and to reveal the card only at the end. Run both rounds and keep notes on which of your questions produced evidence and which produced only more words.

## Quiz

1. According to the chapter, where does credibility primarily come from?
  - A) The precise wording of the sentence
  - B) The game surrounding the sentence: history, incentives, evidence, knowledge, reputation, and verification
  - C) How confidently the message is delivered
  - D) Whether you personally like the speaker
2. A seller tells you the highest offer they’ve received is \$20,000. Which conclusion best reflects the chapter?
  - A) They benefit from saying it, so it’s false.
  - B) They’re probably honest, so treat it like directions to the train station.
  - C) They benefit from your believing it, so the statement alone gives you less reason to update.
  - D) Price claims are cheap talk and should be ignored completely.
3. What did Farrell and Rabin argue about cheap talk?
  - A) Costless messages are always meaningless.

- B) Costless messages always lead to efficient truth-telling.
  - C) Both extremes are wrong; under the right incentives, cheap talk can carry substantial information.
  - D) Cheap talk only works between family members.
4. In Cox and Stoddard's experiment, what happened when the incentive to exaggerate increased?
- A) Truthfulness declined, and the benefits of communication became smaller.
  - B) Truthfulness stayed the same.
  - C) Players stopped sending messages entirely.
  - D) Efficiency improved because players became more cautious.
5. A job candidate says, "I'm extremely hardworking." Why is this weak evidence on its own?
- A) Candidates who say this are usually lying.
  - B) Almost any candidate, hardworking or not, benefits from saying it, so it doesn't distinguish between them.
  - C) Hard work can't be measured.
  - D) Self-descriptions are never useful.
6. Which question best captures what makes a signal credible?
- A) How expensive was the signal?
  - B) How dramatic was the gesture?
  - C) Why would this signal be easier, cheaper, or more worthwhile for someone whose claim is true than for someone whose claim is false?
  - D) Did the person sound sincere while sending it?
7. You explained your project timeline brilliantly, but the client still doesn't believe you'll deliver on time. You've been late on the last three projects. What does the chapter suggest?
- A) Build a more persuasive argument with a stronger story.
  - B) Treat it as a credibility problem: ask how to make the claim more credible, not how to say it better.
  - C) Insist that you're telling the truth.
  - D) Offer a bigger discount to change the subject.
8. What is the difference between signaling and commitment?
- A) Signaling uses words; commitment uses actions.
  - B) Signaling asks what an action tells you about me; commitment asks how an action changes my future options.
  - C) Signaling is ethical; commitment is manipulative.
  - D) There is no difference; they are the same idea.

## Field assignment

**This week: run the Credibility Test on three real claims, and make one of your own claims easier to verify.**

1. **Listen for three high-stakes claims** made to you this week: at work, in a purchase, in the news, or in your personal life. For each one, record the claim, run the eight questions, and note one thing: whether the claim felt more or less credible than the evidence actually supported. Did confidence, charm, or delivery pull you one way? Did awkwardness push you the other?
2. **Catch one “Would they say this anyway?” moment.** Find a statement that almost anyone in the speaker’s position would make regardless of the truth. Note what evidence would actually distinguish the cases.
3. **Make one of your own truthful claims easier to verify.** Choose something you need someone to believe: a status update, a commitment, a recommendation. Before you say it, add one piece of evidence they can check without relying on your word (a document, a demo, a reference, a milestone, a track record). Record how they responded compared with how such conversations usually go.

### Debrief questions for next week

1. In which of your three claims did persuasiveness and credibility point in different directions, and which one did you act on?
2. When you added verification to your own claim, did it change how the other person responded? Did it change how you felt about being questioned?
3. Where did you notice yourself sliding toward cynicism, and how did you bring yourself back to “trust and still understand the game”?

## The question to carry

What makes this message credible?

## My notes

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# Module 8 — Commitment Changes the Game

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**The question:** What makes this commitment real?

## The tool: The Commitment Test

Use this before making a threat, promise, deadline, boundary, or “final” position, and to evaluate one someone else makes to you.

### The situation

The commitment I’m considering (or facing), and whether it’s an intention, promise, or strategic commitment:

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### Part 1 — What makes this commitment real?

What actually binds it? (contract / rule / third-party authority / legal restriction / public commitment / financial consequence / reputational cost / irreversible investment / merely words)

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Can the other player observe or verify it?

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### Part 2 — What am I giving up, and why?

What future option am I giving up? (Be precise.)

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What strategic benefit does the constraint create?

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### Part 3 — Threats and promises

“If you

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, I will

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.” Threat or promise?

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When the moment arrives, will carrying it out still make sense? Is there a smaller consequence I would enforce every time?

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#### **Part 4 — Boundaries**

“If this occurs, here is what I will do”:

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What I will actually do, calmly and consistently, when it’s crossed:

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#### **Part 5 — Their response**

How will their best response change (concede, walk away, commit back, find alternatives, retaliate, stop)?

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Can this produce an impasse? What if they refuse to move?

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#### **Part 6 — The costs of commitment**

What happens if new information appears? What flexibility will I wish I still had?

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Is this strategy, or stubbornness and sunk cost?

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#### **Part 7 — Ethics**

Does it preserve truth, autonomy, dignity, and informed choice?

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**Decision:** Commit as planned / commit to something smaller or more enforceable / stay flexible. Why?

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## Practice exercises

### Exercise A — Analyze the scenario

Dana runs a small design studio and is renewing a contract with her largest client. The client's procurement lead, Marcus, asks for a 15 percent price cut. Dana says, "Our rates are final; we can't go lower," then agrees to 5 percent off when Marcus pushes. A week later Marcus asks for another 5 percent, and Dana says this time she means it. Meanwhile, at home, Dana has told her teenage son three times this month that if he misses curfew again, he loses the car "for the rest of the year," and each time he kept the keys. Back at work, Dana is drafting a public post announcing that her studio will "never charge clients for revisions," hoping it will win new business. Her biggest project next quarter is an unfamiliar type of work with a scope that's hard to predict. Marcus has also mentioned that his own authority caps the budget at a specific number, and that anything above it goes to his CFO.

1. Why does Dana's "we can't go lower" carry little weight with Marcus, and what would make a price position real?
2. Analyze the curfew threat. Why isn't it working, and what would a more credible version look like?
3. Evaluate the planned "never charge for revisions" announcement using the costs of commitment.
4. How should Dana treat Marcus's claim about his budget cap?
5. What is one ethical line Dana should keep in mind as she firms up her positions?

### Exercise B — Your own game

Pick one live situation where you are about to state, or have recently stated, a firm position: a threat, promise, deadline, boundary, or "final" offer. It might be a negotiation, a rule with your kids, a boundary with a relative, or a public goal at work.

1. Write the statement exactly as you said it, or would say it.
2. Classify it: intention, promise, or strategic commitment.
3. Work through all seven parts of the Commitment Test.

4. Rewrite the statement so it is (a) something you will actually enforce, (b) observable to the other person, and (c) flexible enough to survive the most likely change in circumstances.
5. Now flip it. Think of a “final” position or “I have no choice” someone recently gave you. List what actually binds them. If the honest answer is “nothing except that they said so,” what would you do differently?

### Exercise C — Partner drill / role-play

**Format:** Pairs, 12–15 minutes, plus a 5-minute debrief. Works with an AI practice partner too.

**Setup:** A freelance photographer (Player A) and an event planner (Player B) are negotiating the fee for a wedding shoot. Run it in three short rounds of three to four minutes each.

**Private instructions, Player A (photographer):** You’d prefer \$3,000. You’d accept \$2,400. In Round 1, you have no real constraint. In Round 2, you have a genuine, verifiable constraint: you’ve been offered another booking on the same date at \$2,600, which you must confirm by tomorrow at noon. You may share it if you choose. In Round 3, decide on your own whether to make a firm “final” statement and whether to back it with anything.

**Private instructions, Player B (planner):** Your client’s budget is \$2,800, but you’d love to come in under it. In Round 1, test A’s stated minimums. In Round 2, before reacting to any constraint A mentions, ask what actually binds it. In Round 3, you may make your own firm commitment, for example by truthfully saying your client has capped the budget at a set number.

**Rules:** No inventing constraints that don’t exist on your instruction card. Truth, autonomy, dignity, and informed choice apply.

**Debrief questions:** 1. In Round 1, did A’s “minimum” hold? What did B learn when it moved? 2. In Round 2, did the observable deadline change B’s best response? Did it reduce uncertainty or create pressure, or both? 3. In Round 3, did two commitments ever collide and threaten an impasse? How close did you come to “no deal”? 4. Which statements were “I can’t” and which were “I don’t want to”? How did the other person treat each? 5. Where did fairness or reciprocity seem to shape the outcome, beyond what the strategic logic alone would predict?

## Quiz

1. In the book’s framework, which of these is a strategic commitment rather than an intention or a promise?
  - A) “I’m definitely waking up at 5:00 tomorrow.”
  - B) “I promise I’ll meet you at the gym at 5:30.”

- C) Arranging for your partner to pick you up at 5:15 and prepaying a session you lose if you don't attend.
- D) Telling yourself you're truly committed to getting in shape.
2. Schelling's paradox of commitment holds that:
- A) More options always produce more bargaining power.
- B) A player can sometimes strengthen its position by openly making its own alternatives worse.
- C) The player who commits most aggressively always wins.
- D) Commitments work best when kept secret.
3. A parent threatens six months of grounding over an uncleaned room. According to the chapter, the main problem is that:
- A) The threat isn't severe enough.
- B) Carrying it out would be costly for the parent too, so the child expects them to back down.
- C) Threats never work with children.
- D) The parent didn't state it publicly.
4. A seller tells you, "I'd love to go lower, but corporate won't let me." The most useful question to ask is:
- A) "How committed are you, really?"
- B) "What actually binds you: a rule, an authority, a contract, or just words?"
- C) "Why don't you just quit?"
- D) "Can you make it your final offer?"
5. Why does a commitment usually need to be observable?
- A) Hidden commitments are unethical by definition.
- B) A hidden commitment can constrain you, but it can't change the other player's present decision unless they know or can infer it.
- C) Observable commitments are always irreversible.
- D) Only public commitments affect your own future behavior.
6. In the Swope, Cadigan, and Schmitt bargaining experiments, credible commitment:
- A) Increased the committer's payoff and also increased the probability of bargaining failure.
- B) Had no effect on outcomes.
- C) Always improved efficiency for both parties.
- D) Only worked when both sides committed at once.
7. A team keeps funding a failing project because "we've already spent too much to stop." This is best described as:
- A) A strategic commitment.

- B) A credible promise.
- C) The sunk-cost fallacy.
- D) A boundary.

8. You tell a relative, “If you keep yelling, I’ll end the conversation,” and you’ve stayed the last three times. What does the chapter suggest?
- A) Make the consequence more dramatic so it gets noticed.
  - B) Stop setting boundaries, since they don’t work.
  - C) Calmly say “We’ll continue this when we can talk respectfully” and leave, consistently, so your behavior makes the boundary credible.
  - D) Announce the boundary publicly to raise its cost.

## Field assignment

**This week: audit your commitments.** Each day, notice one threat, promise, deadline, boundary, or “final” position, either one you make or one someone makes to you. For each, record:

- The exact words.
- Whether it was an intention, a promise, or a strategic commitment.
- What actually bound it (or “words only”).
- Whether it was followed through, and what the other person seemed to learn.

Then pick one boundary or consequence in your own life that you have stated but not enforced. Replace it with a smaller, clear consequence you will actually carry out, state it once calmly, and follow through the next time the condition occurs. Record what happens.

**Debrief questions for next week:** 1. How many of the “final” positions or “I can’t” statements you heard were backed by something real? How could you tell? 2. When you enforced a smaller consequence, how did the other person’s behavior or expectations change, if at all? 3. Where did you notice a commitment, yours or someone else’s, that had become a trap because circumstances changed? What flexibility would have helped?

## The question to carry

### What makes this commitment real?

What option am I giving up? How does giving it up change their decision? What flexibility will I wish I still had if circumstances change? What happens if they refuse to move?

## My notes

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# Module 9 — The Shadow of the Future

**The question:** What changes because there is a next time?

## The tool: The Repeated-Game Audit

Use this when an interaction is likely to continue. Don't evaluate it as though it ends today.

**The interaction:**

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**The move I'm tempted to make:**

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**Step 1 — Is there a next round?** Is there likely to be a next round? (yes / no / unsure)

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How valuable is that future interaction to me? To them?

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Is an endpoint visible (last day, final contract, move away)?

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**Step 2 — Transaction or relationship?** Is this a transaction that ends when the exchange ends, or a relationship that creates another round?

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**Step 3 — Teaching and learning** What is today's move teaching the other person to expect from me?

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What am I learning about them?

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What does their history tell me (reliable for years, or "here we go again")?

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**Step 4 — Reputation** What reputation are we each building?

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Is that reputation useful predictability, or exploitable predictability?

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What reputation do I want to be bound by?

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**Step 5 — Incentives** What behavior am I rewarding?

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What behavior am I making costly?

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**Step 6 — Repair** If a mistake occurs, is there a path back to cooperation?

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How would I tell a mistake from exploitation?

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**Step 7 — The hundred-round test** What happens if we keep playing this way for the next hundred rounds?

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**My move, revised:**

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## Practice exercises

### Exercise A — Analyze the scenario

Dana runs a small marketing agency. For four years her biggest client has been a regional furniture retailer, and her main contact there is Marcus. Last month Marcus signed off on

an ad with the wrong sale dates, and the client lost a weekend of sales. Dana's contract technically lets her bill for the rework, and her account lead, Priya, wants to bill the full \$4,000 and send Marcus an email quoting his approval line by line "so it never happens again." Meanwhile Dana also has a freelance designer, Theo, who has missed three of his last four deadlines, each time with an apology and a promise, and Dana has absorbed the overtime "to keep the relationship good." Theo just asked for a raise. Separately, Dana learned that Marcus is leaving the retailer in two months, and his replacement is unknown.

1. Which of these relationships has the longer shadow of the future, and does Marcus's departure shorten it?
2. What would Priya's approach win in this round, and what might it teach the client to expect next time?
3. What has Dana been teaching Theo to expect, and what does the chapter suggest she do?
4. How does noise apply to the Marcus situation, and how should Dana distinguish mistake from exploitation in each case?
5. Run the hundred-round test on Dana's current approach with Theo.

### Exercise B — Your own game

Choose a relationship you expect to continue: a coworker, a direct report, a partner, a child, a client, a sibling. Pick one recurring moment in it, such as how disagreements go, how mistakes are handled, or how requests get made.

1. Write down the last three times this moment happened and how you responded.
2. Complete the Repeated-Game Audit for the next time it happens.
3. For each of your three past responses, finish this sentence: "From this, they probably learned that

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."

4. Compare what you say you want ("tell me the truth," "be honest with me," "speak up") with what your behavior has taught. Where do the words and the history disagree?
5. Decide on one change: a behavior you'll start rewarding, a behavior you'll make more costly, or a repair route you'll offer. Write the exact sentence you might say.

### Exercise C — Partner drill / role-play

**Format:** pairs, 15 minutes. (An AI practice partner can play Player B.)

**Setup:** Two roommates, or two coworkers who share a project, have been splitting tasks for a year. Last week Player B didn't do a task they had agreed to do, and Player A had to cover it.

**Player A privately knows:** You're annoyed. This is the second time in a month. You aren't sure whether B forgot or is starting to take advantage of you. You want the arrangement to continue.

**Player B privately knows:** You genuinely misread a message and thought A had swapped tasks with you. The first miss a few weeks ago was real carelessness on your part. You also feel A has been short with you lately, and that bothers you.

**Round 1 (4 min):** Player A responds as if this is a one-shot game: maximize being right today. Player B responds naturally.

**Round 2 (4 min):** Reset. Player A uses the audit: Is this mistake or exploitation? What will my response teach B to expect? Is there a path back to cooperation? Player A aims to set a clear expectation without starting a feud. Player B responds naturally.

**Debrief (5-7 min):**

- In Round 1, what did B learn to expect from A? Did B start retaliating, even subtly?
- In Round 2, did A find a way to address the earlier, real miss without punishing the honest mistake?
- What would the hundred-round version of each conversation look like?

## Quiz

1. According to the chapter, what changes when a one-shot Prisoner's Dilemma becomes a repeated game?
  - A) The immediate payoffs of cooperating and defecting change
  - B) The continuation of the relationship enters the calculation, so today's move can affect future treatment
  - C) Defection becomes impossible
  - D) Players become more generous by nature
2. What did Pedro Dal Bó's experiments vary, and what did they find?
  - A) The size of the payoffs; larger payoffs increased cooperation
  - B) Whether players could talk; communication eliminated defection
  - C) The probability of another round; a longer expected future significantly reduced opportunistic behavior
  - D) Players' personalities; cooperative people always cooperated
3. What is the most accurate lesson from Axelrod's tournaments?
  - A) Tit for Tat is the universally best strategy for life
  - B) Complex strategies always beat simple ones
  - C) Once people expect a future together, reciprocity becomes strategically possible
  - D) Cooperation never pays against selfish players

4. A manager says “bring me bad news early” but berates the first person who does. Next month nobody reports a problem. What best explains this?
  - A) The employees are responding to the history of the game, not the manager’s words
  - B) The employees lack integrity
  - C) The manager’s instruction was unclear
  - D) Bad news is rare in well-run teams
5. Aoyagi, Bhaskar, and Fréchette found that under noisy monitoring, players who sustained cooperation tended to use strategies that were:
  - A) Simpler and harsher
  - B) Identical to those under perfect monitoring
  - C) Purely random
  - D) More complex and more lenient
6. Your friend has cancelled plans with you six times in a row, each time with a heartfelt apology and a promise to make it up. Following the chapter, what is the best response?
  - A) Keep accepting, because thinking long term means always cooperating
  - B) Treat the pattern as information; set a clear expectation or change the terms, and be willing to step back if it continues
  - C) Retaliate by cancelling on them six times
  - D) Ignore history and evaluate only the most recent cancellation
7. Why does the chapter say “cooperation is not the same thing as goodness”?
  - A) Because cooperation is always a form of manipulation
  - B) Because repeated games make cooperation impossible
  - C) Because cartels, corrupt organizations, and people deceiving a third party can sustain cooperation too
  - D) Because selfish motives make cooperation fake
8. A neighborhood restaurant has a longer direct shadow of the future than a highway restaurant mainly because:
  - A) Its customers are likely to return and to talk with neighbors who might come
  - B) Its owners are more ethical
  - C) It charges higher prices
  - D) Highway restaurants are not subject to reviews

## Field assignment

This week, pick one ongoing relationship and pay attention to what you are teaching. Each day, note one moment where someone told you the truth, disagreed with you, said no, made a mistake, or kept or broke their word. Record:

- What they did.

- How you responded.
- What your response likely taught them to expect next time.
- Whether it was a mistake or a pattern, and whether there was a path back to cooperation.

At least once this week, deliberately choose the move that makes tomorrow's game better over the one that gives you the most today: owning a mistake, declining to exploit someone's error, offering a repair, or holding a proportionate boundary. Note what happened.

**Debrief questions for next week:** 1. Where did your words and your behavior teach different lessons, and which lesson was the other person more likely to follow? 2. Did you find a relationship where you've been cooperating unconditionally with repeated exploitation, or punishing honest mistakes as if they were exploitation? What would conditional cooperation look like there? 3. Running the hundred-round test on your most important relationship this week, where does the current pattern lead?

## The question to carry

| What changes because there is a next time?

## My notes

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# Module 10 — Diagnose the Coordination Problem

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**The question:** Are we actually in conflict—or are we failing to coordinate?

## The tool: The Coordination Diagnostic

Use this when a group or relationship keeps producing an outcome nobody seems to want.

### The situation

What is the bad outcome that keeps happening?

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Who are the players?

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### Step 1 — Do we actually want incompatible things?

What does each player want the end result to be?

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If yes, you may have a genuine conflict or bargaining problem. If no, continue. If partly (we want to coordinate, but on different options), note where interests align and where they diverge:

Align:

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Diverge:

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### Step 2 — The simple test: Would I want to take the desired action if I knew the others would too?

My honest answer:

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What I suspect each other player would honestly answer:

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- Yes, absolutely → likely **coordination**.
- I'd still rather let others bear the cost → likely **social dilemma / free-rider problem**.  
Clarity alone may not be enough; look at incentives, monitoring, reputation, repeated interaction, commitments, or the rules.

**Step 3 — My diagnosis (circle one):** Conflict / Coordination failure / Social dilemma / Mixed

Why:

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**Step 4 — What am I uncertain about?** (their actions, intentions, knowledge, commitment)

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**Step 5 — What are they uncertain about?** (Your intentions may be part of the problem.)

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**Step 6 — What expectation needs to become mutually clear?**

Who acts?

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When?

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According to what standard?

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Where is the handoff, and who confirms it happened?

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**Step 7 — Is there a focal point or convention we can coordinate around?**

Existing standard, obvious default, or simple selection rule (alternate, rotate, coin flip, alphabetical, “whoever cared most last time defers”):

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**Step 8 — Does everyone know that everyone knows?**

Has this been said privately or publicly? Would making it public change the game?

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**Step 9 — Choose the intervention** (check all that fit the diagnosis)

- ☐ A shared plan
- ☐ A public commitment
- ☐ A clear owner
- ☐ A standard
- ☐ A deadline
- ☐ A focal point
- ☐ Information about what everyone else intends to do

My one-sentence move that makes the next step obvious to everyone:

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**Ethics check:** Does this coordination respect truth, autonomy, dignity, and informed choice for everyone affected, including people outside the group?

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## Practice exercises

**Exercise A — Analyze the scenario**

Dana runs a twelve-person marketing team at a regional credit union. Three months ago, leadership approved a shared content calendar in a new planning tool to replace the mix of

spreadsheets and email threads the team had been using. In the kickoff email, Dana wrote, “Everyone should start using the new calendar when you can.” Today, only two people use it. The others say they like the tool but keep their own spreadsheets “because that’s where everyone else’s dates are.” Last week, two staff members scheduled competing promotional emails for the same morning, and a member newsletter went out without the compliance review because the writer assumed the designer had sent it for sign-off, and the designer assumed the writer had. In a frustrated one-on-one, Dana’s director says, “Your team doesn’t take ownership and resists change. Maybe you need to motivate them.” Dana is now drafting a speech about accountability.

1. Is the calendar adoption problem primarily conflict, coordination failure, or social dilemma? Apply the simple test.
2. What kind of uncertainty is blocking adoption, and why did the kickoff email fail to resolve it?
3. Diagnose the newsletter incident. Where exactly did the system break?
4. Is a motivational speech the right intervention? What would you do instead?
5. Is there any part of this that might not be coordination?

### Exercise B — Your own game

Pick a live situation in your own life where people “can’t seem to get on the same page”: a recurring household chore, a team handoff, a family schedule, a project with a partner, a volunteer group.

1. Write one sentence describing the bad outcome that keeps happening, without blaming anyone’s character.
2. Work through all nine steps of the Coordination Diagnostic.
3. Pay special attention to Step 2. Answer honestly for yourself first. If your answer is “I’d rather someone else did it,” say so; it changes the diagnosis.
4. Write the single sentence that would make the next move obvious to everyone, in the style of “Paul owns this by 3 PM.” Include who, what, and when.
5. Decide how you will make it mutually visible: in front of everyone, in a shared document, on a visible schedule.
6. If the situation is one you keep renegotiating (like “Who’s picking up the kids Thursday?”), draft a convention everyone could know before the next conflict arises.

### Exercise C — Partner drill / role-play

**Format:** Pairs or small groups, 12–15 minutes. Can also be done with an AI practice partner playing Player B.

**Setup:** A shared-office kitchen keeps getting left messy, and the group meets to “fix it.” Player A is the facilitator. Player B plays one or more coworkers. Before starting, Player B secretly draws one of three cards (or the AI is told one privately):

- **Card 1 — Coordination:** “I’d happily clean on a set day, but there’s no schedule, and I never know if someone already did it, so I don’t.”
- **Card 2 — Social dilemma:** “Honestly, if others clean, I’ll enjoy it and not bother. My time is better spent elsewhere.”
- **Card 3 — Mixed:** “I agree we need a rotation, but I want it to exclude Fridays because I work remotely then; others want everyone equal on every day.”

**Rules:** Player A has 7 minutes to diagnose which card Player B holds, using questions only, not accusations. Player A must ask some version of the simple test (“If you knew everyone else was doing their part, would you do yours?”) and at least one question about what B is uncertain about. Player B answers honestly in character but does not announce the card. Then Player A proposes one intervention matched to their diagnosis.

**Debrief (5 minutes):**

- Which card did A guess, and what evidence led there?
- Did A’s proposed intervention fit the card? (Card 1 needs a schedule, owner, and public visibility; Card 2 needs something that changes incentives, such as visibility, rotation accountability, or a changed rule; Card 3 needs a fair selection rule among options people disagree about.)
- How would an intervention for the wrong card have failed?
- Swap roles and draw again.

## Quiz

- Two friends both prefer eating dinner together to eating alone; one slightly prefers Italian, the other slightly prefers steak. What is the most important thing for them?
  - Getting the one with the stronger preference their first choice
  - Ending up at the same restaurant
  - Finding the objectively better restaurant
  - Proving whose preference is more reasonable
- Which question best separates a coordination problem from a social dilemma?
  - “Do we all want the same final outcome?”
  - “Who has more power in this group?”
  - “If I knew for certain everyone else would cooperate, would I want to cooperate too?”
  - “Have we communicated clearly enough?”

3. Many people asked to match another person's positive whole number choose 1. Why does that work?
  - A) 1 is mathematically optimal for matching
  - B) It stands out, and you can imagine the other person thinking the same thing
  - C) People are told 1 is the default
  - D) Smaller numbers have higher payoffs
4. A company's employees all like a new system if everyone uses it, but switching alone makes work harder, so nobody switches. The best description of the barrier is:
  - A) Low motivation
  - B) A genuine conflict of interests
  - C) Strategic uncertainty
  - D) A free-rider problem
5. A manager privately tells each of five employees, "You're responsible for this change," versus telling all five together. What does the group announcement add?
  - A) A financial incentive
  - B) Mutual awareness: each knows the others know who is responsible
  - C) More persuasive arguments for the change
  - D) Nothing; the information is identical
6. Based on the Cooper et al. experiments and the Senegal field experiment, which claim is justified?
  - A) Talking more makes every group problem disappear
  - B) Nonbinding communication is useless because it isn't credible
  - C) Communication can substantially improve coordination when it resolves the uncertainty blocking it, but it doesn't eliminate every failure
  - D) Revealing intentions only works in small groups
7. Two co-founders both want the company to succeed but each wants their own strategy adopted. This is best described as:
  - A) Pure coordination
  - B) A mixed-motive game with both coordination and conflict
  - C) A pure free-rider problem
  - D) Not a strategic problem at all
8. A team agrees "someone needs to call the customer today," and nobody does. Sales thought service would; service thought sales would. The most useful intervention is:
  - A) A talk about taking initiative
  - B) A financial penalty for everyone
  - C) "Jordan owns the call by 3 PM," said in front of the team
  - D) More debate about who should own customer relationships in general

## Field assignment

This week, find one recurring friction point at work or at home that you have been treating as a conflict or a motivation problem: a task that falls through the cracks, a handoff that keeps failing, a schedule you renegotiate every week.

1. Run the Coordination Diagnostic on it before saying anything. Commit to a diagnosis: conflict, coordination failure, social dilemma, or mixed.
2. If it's coordination, make one expectation mutually clear: name an owner, a time, and a standard, and say it where everyone involved can see everyone else receive it. If it's a recurring negotiation, propose a simple convention.
3. If it's a social dilemma or conflict, don't force a coordination fix. Note what the real problem is and what kind of intervention it would need.
4. Record: what you said, where you said it, what happened over the next several days, and whether the problem recurred.

### Debrief questions for next week:

- Was your initial assumption about the problem (before the diagnostic) the same as your final diagnosis? What changed your mind?
- Did making the expectation public produce a different result than past private reminders? What evidence do you have?
- If the problem came back despite clear, mutually known expectations, what does that suggest: a hidden incentive problem, a real conflict, or a game that needs redesigning?

## The question to carry

**Are we actually in conflict—or are we failing to coordinate? If it's coordination: What expectation needs to become mutually clear? Sometimes the most strategic thing you can do is surprisingly simple: make the next move obvious to everyone.**

## My notes

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# Module 11 — Change the Game

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**The question:** Do I need a better move—or a better game?

## The tool: The Game-Change Audit

Use this when the same bad outcome keeps returning, after better arguments, better wording, more motivation, and more pressure haven't fixed it.

### Step 1 — Name the recurring problem

The outcome that keeps returning:

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What I (or we) have already tried, inside the current game:

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My current character explanation ("they're lazy / selfish / gaming it"):

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### Step 2 — What does the game actually reward?

What behavior is the current game rewarding? (Not what the policy claims to reward. What actually pays?)

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What behavior is it punishing? Could the desirable action currently be costly?

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What metric are people optimizing? Is it actually the outcome we care about?

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What does my stated value say, and what does the reward say?

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### Step 3 — Inspect the levers

| Lever                                | How it works now | One possible change |
|--------------------------------------|------------------|---------------------|
| Rules: what players can and can't do | <hr/> <hr/>      | <hr/> <hr/>         |
| Payoffs: what pays, what costs       | <hr/> <hr/>      | <hr/> <hr/>         |
| Information: who knows what, when    | <hr/> <hr/>      | <hr/> <hr/>         |
| Who decides                          | <hr/> <hr/>      | <hr/> <hr/>         |
| Timing: who moves when               | <hr/> <hr/>      | <hr/> <hr/>         |
| Options: what choices exist          | <hr/> <hr/>      | <hr/> <hr/>         |
| Players: could a third party help?   | <hr/> <hr/>      | <hr/> <hr/>         |
| Observability and feedback           | <hr/> <hr/>      | <hr/> <hr/>         |
| Default: what happens if nobody acts | <hr/> <hr/>      | <hr/> <hr/>         |

What is currently easy?

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What is currently hard? (Friction is part of the design.)

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Is there an incentive or rule I should remove rather than add?

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#### Step 4 — Stress-test the redesign

How could a smart player game this system, including my new version of it?

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What unintended behavior might the new rule create? (Think one response further: then what?)

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What harder-to-measure work might lose effort if I reward the measurable part?

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### **Step 5 — Ethics check**

Does the player understand the game?

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Do they retain meaningful choice?

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Are important facts hidden, or does the system exploit confusion?

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Does it treat people as decision-makers rather than objects to be manipulated?

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### **Step 6 — Smallest testable change**

What specific mechanism appears to be producing the unwanted behavior?

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The smallest change capable of testing that hypothesis:

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What I'll observe, and when:

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If exit is on the table: what would I lose, and what future would I give up?

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**The central question:** Can I redesign the game so that the behavior I want becomes a more natural response to the structure itself?

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## Practice exercises

### Exercise A — Analyze the scenario

Dana manages a twelve-person software support team. For the past year, the team's leaderboard has ranked engineers by "tickets closed per week," and the top three each quarter get a bonus and first choice of vacation weeks. Dana keeps telling the team that customer satisfaction and knowledge-sharing are what really matter, and she has run two workshops on mentoring junior colleagues. Yet senior engineers rarely help juniors, complex tickets sit untouched until someone is assigned them, and customers increasingly reopen tickets marked "resolved" within days. Reopened tickets are counted as new tickets. Escalations to engineering require Dana's personal sign-off, and she is often in meetings until late afternoon. Last month, two engineers were caught splitting single customer issues into several tickets. Dana's boss has suggested firing them and "hiring people with better values."

1. What behavior is Dana's current game rewarding, and what is it punishing?
2. What metric is the team optimizing, and how does it differ from the goal?
3. Which design levers could Dana change? Name at least three.
4. How could a smart player game your proposed redesign?
5. Is "hire people with better values" the right diagnosis? What would you test first?

### Exercise B — Your own game

Pick a problem in your own life that keeps coming back despite your best efforts: a recurring argument at home, a work process that keeps producing the same failure, a client pattern, or a habit you keep "trying harder" to change.

1. Write down every "better move" you have already tried: the conversations, the wording, the appeals to values, the willpower.
2. Fill out the Game-Change Audit for it, all six steps.
3. Circle the single lever that seems most responsible for the behavior. Is it payoffs, information, timing, options, authority, a default, friction, or feedback?
4. Design the smallest change that would test your hypothesis. If you are both designer and player (for example, your own focus), design for the behavior you are likely to have, not the behavior you wish you had.

5. Run your design through the ethics questions. If the change affects other people, how will you make the new game understandable to them? Will you design it with them rather than impose it?
6. If you lack the authority to redesign anything, ask honestly: why am I trying to become better at this game? List what exit would cost you (money, relationships, status, opportunity, future upside) before deciding.

### Exercise C — Partner drill / role-play

**Format:** pairs or small groups, 15 minutes. Works with an AI practice partner too.

**Setup:** A small family business, a bakery, has a recurring problem. Every Friday the two co-owners, siblings, argue about who gets to approve the weekend order, and the order goes in late about half the time. Every order decision requires both of them to agree.

#### Roles:

- **Player 1, Sibling A (runs the front of house).** Privately: you believe your sibling over-orders and you end up discarding unsold goods. You hate the Friday argument but feel that if you give in, waste will keep rising. You don't have the sales numbers your sibling has.
- **Player 2, Sibling B (runs the kitchen and ordering).** Privately: you have the weekly sales data and believe running out on Saturday costs more than waste. You feel micromanaged by having to get approval every week.
- **Player 3 (optional), Designer.** You have read Chapter 11. Your job is not to decide who is right about quantities but to help them redesign the game.

**Round 1 (5 min):** The siblings play the current game: argue Friday's order with unanimous approval required. The Designer silently notes the rules, information gaps, timing, and who decides.

**Round 2 (7 min):** The Designer leads the group through the Game-Change Audit's lever table. Together, propose at least two redesigns, for example: assigned decision rights within a range ("B orders within a set band; going outside it requires both"), shared information (a simple sales-and-waste sheet both can see), changed timing (a standing Wednesday review instead of a Friday argument), or a trial period followed by a review. Then stress-test: how could either sibling game the new rule?

**Debrief (3 min):** 1. In Round 1, which disagreement was really about payoffs, and which was about missing information? 2. Which lever changed the most in your redesign? Who decides, information, or timing? 3. How might the new arrangement be gamed, and what would you watch for in the first month? 4. Did the redesign treat both siblings as informed decision-makers, or did it quietly favor one?

## Quiz

1. How does mechanism design differ from the game theory used in earlier modules?
  - A) It focuses on predicting a single opponent's next move.
  - B) It starts from the outcome you want and asks how to design the rules to make it more likely.
  - C) It assumes players are always irrational.
  - D) It replaces incentives with persuasion.
2. In the “one cuts, the other chooses” cake example, why does the cutter make the pieces equal?
  - A) The parent lectures them on fairness first.
  - B) The cutter has become less selfish.
  - C) If one piece is clearly larger, the other child will take it, so self-interest favors equal pieces.
  - D) The parent inspects the pieces afterward.
3. A company says “tell us the truth” but penalizes people who report bad news. According to the chapter, what should you expect?
  - A) The stated value will win because people have integrity.
  - B) The rewarded behavior will tend to win.
  - C) Communication training will resolve it.
  - D) Behavior will be unaffected by the penalty.
4. What did the Kenyan teacher-incentive study illustrate?
  - A) Incentives never change behavior.
  - B) Incentives tied to test scores produced lasting, broad learning gains.
  - C) Incentives raised scores on the incentivized exams, mainly through test preparation, without clear gains in attendance, homework, or pedagogy.
  - D) Teachers ignored the incentive entirely.
5. A manager rewards her team solely on the number of leads generated, then complains that lead quality has dropped. What is the best diagnosis?
  - A) The team missed the point and needs a firmer talk.
  - B) The scoreboard told them what the point was; the metric is not the goal.
  - C) The team has poor values.
  - D) Lead quality cannot be influenced by design.
6. A project automatically continues unless someone explicitly stops it. Which lever is this?
  - A) The default: what happens when nobody chooses.
  - B) The players.
  - C) Exit.
  - D) Incentive compatibility.

7. You introduce a productivity metric. Productivity rises, but quality collapses. What is the chapter's recommended response?
- A) "Why aren't people behaving according to my design?"
  - B) Add many more rules at once.
  - C) "What did I misunderstand about the game?" and then observe, update, and adapt.
  - D) Abandon all measurement permanently.
8. A subscription takes one click to start and twenty to cancel. From the chapter's ethical standpoint, what is the key point?
- A) Since cancelling is technically possible, the design is neutral.
  - B) Friction is part of the game, and being able to make a choice strategically difficult does not mean you should.
  - C) Friction only matters in government systems.
  - D) Ethical design means removing all choices.

## Field assignment

**This week: run one small, ethical game redesign.**

Choose one recurring problem you have the authority to influence: a household routine, a team process, a client arrangement, or your own work environment. Complete the Game-Change Audit, identify the one mechanism you believe is producing the unwanted behavior, and implement the smallest change capable of testing that hypothesis. If the change affects other people, explain the new game to them clearly, or better, design it with them.

Each day, record in a few lines: - What behavior did you observe under the new structure? - Did anyone respond in a way you didn't predict, including ways of gaming the new rule? - What became easier, and what became harder?

**Debrief questions for next week:** 1. What did the system "talk back" with, and what did it reveal that you had misunderstood about the game? 2. Before this week, how much of the problem had you attributed to someone's character? How has that changed? 3. What is your next smallest adjustment, or have you concluded that the better move is to leave this game?

## The question to carry

**Do I need a better move—or a better game?**

## My notes

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# Module 12 — Strategic Judgment

**The question:** What did I learn from what just happened?

## The tool: The Strategic Judgment Worksheet

Use this when the stakes matter, something doesn't make sense, a pattern keeps repeating, incentives are unclear, trust is uncertain, or several people affect the outcome. Don't use it for "Sure."

### Part 1 — The situation

What happened (facts only):

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My first interpretation (my story):

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How confident am I in that story (0-100%)?

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What is my immediate impulse, the thing I'd say or do with no pause?

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### Part 2 — The Eleven Questions (scan all, mark the 2-3 that matter most)

| ✓                        | Model              | Question                                                                                           | My answer   |
|--------------------------|--------------------|----------------------------------------------------------------------------------------------------|-------------|
| <input type="checkbox"/> | 1. See the Game    | What game am I actually in? (Players, actions, timing, outside options, who can combine with whom) | <hr/> <hr/> |
| <input type="checkbox"/> | 2. See the Payoffs | What does each player actually value? Are our interests opposed, aligned, or mixed?                | <hr/> <hr/> |

| ✓                        | Model                                 | Question                                                                                                                      | My answer      |
|--------------------------|---------------------------------------|-------------------------------------------------------------------------------------------------------------------------------|----------------|
| <input type="checkbox"/> | 3. Think in Responses                 | Then what? Is there an option I shouldn't choose regardless of what they do?                                                  | _____<br>_____ |
| <input type="checkbox"/> | 4. Manage Predictability              | What should they be able to predict about me, and what becomes exploitable if they can?                                       | _____<br>_____ |
| <input type="checkbox"/> | 5. See the Equilibrium                | What pattern are we producing, and why is it stable?                                                                          | _____<br>_____ |
| <input type="checkbox"/> | 6. Map Information & Beliefs          | What do I know, what am I assuming, and what might they know that I don't?                                                    | _____<br>_____ |
| <input type="checkbox"/> | 7. Separate Words From Credibility    | What makes this believable?                                                                                                   | _____<br>_____ |
| <input type="checkbox"/> | 8. Commitment Changes the Game        | What actually binds them, or me?                                                                                              | _____<br>_____ |
| <input type="checkbox"/> | 9. The Shadow of the Future           | What changes because there is a next time?                                                                                    | _____<br>_____ |
| <input type="checkbox"/> | 10. Diagnose the Coordination Problem | Are we actually in conflict, or failing to coordinate? (If everyone else cooperated, would I still have an incentive not to?) | _____<br>_____ |
| <input type="checkbox"/> | 11. Change the Game                   | Do I need a better move, or a better game?                                                                                    | _____<br>_____ |

The 2-3 lenses that matter most, and why:

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The lenses I'm deliberately setting aside, and why:

### Part 3 — Competing hypotheses

| Hypothesis about what's going on | Evidence for | What would tell this apart from the others? |
|----------------------------------|--------------|---------------------------------------------|
| H1: _____                        | _____        | _____                                       |
| H2: _____                        | _____        | _____                                       |
| H3: _____                        | _____        | _____                                       |

What would have to be true for their behavior to make sense?

### Part 4 — The move

My planned move:

What I predict will happen:

Will this work?

Should I do it? Check each: - Truth: Am I saying only what I believe is true and not creating a false impression?

- Autonomy: Does the other person stay free to choose, including to say no?

- Dignity: Would I be comfortable if they saw my full reasoning?

- Informed choice: Do they have the information they'd need to decide well?

What are we cooperating toward?

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Is the right move vulnerability, walking away, or refusing this game?

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### The Practice Log: Model → Act → Observe → Update → Adapt

Keep one entry per meaningful interaction. Over weeks, this log is how your intuition gets calibrated.

| Date | Model (my read + key lens) | Act (what I did) | Prediction | Observe (what actually happened) | Update (where reality differed, and why) | Adapt (new strategy or new model) |
|------|----------------------------|------------------|------------|----------------------------------|------------------------------------------|-----------------------------------|
|      |                            |                  |            |                                  |                                          |                                   |
|      |                            |                  |            |                                  |                                          |                                   |
|      |                            |                  |            |                                  |                                          |                                   |

Surprise prompts for the Update column: - They didn't cooperate. What did I misunderstand?

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- They stayed. What payoff did I underestimate?

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- They followed through. What made the commitment stronger than I realized?

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- My rule or design backfired. What response did it create that I didn't anticipate?

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## Practice exercises

### Exercise A — Analyze the scenario

Dana is the operations director at a regional logistics company. For the third quarter in a row, the sales team has promised clients delivery windows her warehouse can't meet, and her team absorbs the overtime and the angry calls. On Monday, the VP of Sales, Marcus, emails her and copies the CEO: "We just landed the Harlan account. They need three-day

turnaround starting next month. This is non-negotiable. The CEO is aware.” Dana’s first impulse is to reply-all with a detailed list of every missed promise from the last nine months. She knows Marcus’s team is paid commission on signed contracts, not on retained or profitable accounts. She doesn’t know whether the CEO actually approved three-day turnaround or was simply told about the deal. She’ll work with Marcus for years, and the Harlan account would be good for the company if it could be served reliably. Two of her shift leads have privately told her they’re close to quitting.

1. Which two or three lenses matter most here, and which can Dana set aside for now?
2. Separate the facts from Dana’s likely story. What competing hypotheses should she hold about Marcus and the CEO?
3. What is wrong with Dana’s first impulse, judged by both “Will this work?” and “Should I do it?”
4. Design a move and state a prediction. Then describe what Dana should do in the Observe and Update steps if her prediction turns out wrong.

### Exercise B — Your own game

Pick one live situation from your own life that meets at least two of the book’s criteria: the stakes matter, something doesn’t make sense, a pattern keeps repeating, incentives are unclear, trust is uncertain, multiple people affect the outcome, or your normal approach isn’t working.

1. Write the facts in one paragraph with no adjectives or motives. Then write your story in a second paragraph. Put a confidence percentage on the story.
2. Scan all eleven questions in the Strategic Judgment Worksheet for about 60 seconds each. Then circle no more than three. For each lens you set aside, write one sentence explaining why.
3. Write at least three competing hypotheses. For each, name one question you could ask or one behavior you could watch for that would separate it from the others.
4. Draft your move and your prediction. Run the four ethics checks. If any one fails, redesign the move before going further.
5. Ask yourself whether there is a version of this where the best move is vulnerability, or one where it is walking away. Write one sentence on each.
6. Enter the situation as the first row of your Practice Log. You’ll return to it in the Field assignment and may choose it for your Capstone.

### Exercise C — Partner drill / role-play

**“Two Lenses, Then Update”** (15 minutes, pairs or trios, or with an AI practice partner)

**Setup.** A small nonprofit’s development director (Player A) is meeting a longtime major donor (Player B). The donor has given \$50,000 a year for six years. This year the donor says, “I’m thinking of pausing my gift. I’ll decide by Friday.”

**Player A privately knows:** The organization recently changed its program focus. The board chair told A that the donor “always comes around.” A has no information about the donor’s finances.

**Player B privately knows (choose one card at random and don’t reveal it):**

- Card 1: B is upset that nobody told them about the program change before it was announced publicly. B feels taken for granted and wants to be consulted.
- Card 2: B’s business had a bad year and B is embarrassed to say so. B would like to give a smaller amount without losing face.
- Card 3: B’s adult daughter has started her own nonprofit and B feels torn. B is open to a joint project.

**Round 1 (5 min).** Before speaking, Player A names out loud the two lenses they’ll lead with and one hypothesis they’re testing. A then conducts the conversation. A’s goal is to tell the hypotheses apart, not to secure the gift.

**Round 2 (3 min).** Pause. A states what they observed, what surprised them, and how they’re updating. B says nothing yet.

**Round 3 (4 min).** A adapts and continues. A must stay within truth, autonomy, dignity, and informed choice. That means no inventing urgency, no guilt, and no misrepresenting the program change.

**Debrief (3 min).**

- Which card did A think B held, and when? What evidence moved the estimate?
- Did the board chair’s “always comes around” belief help or hurt? (It’s a story, not a fact.)
- Did A respect B’s ability to say no? Would B feel comfortable if they saw A’s full reasoning?
- Which lens turned out to matter most, and was it one A chose at the start?

## Quiz

1. According to the Conclusion, how should the eleven models be used in a live interaction?
  - A) As a fixed sequence, from See the Game through Change the Game
  - B) As lenses, choosing the two or three that matter most right now
  - C) Only in formal negotiations
  - D) All eleven, written out, before every important conversation
2. Which of these is NOT one of the book’s signals that a situation warrants strategic analysis?
  - A) A pattern keeps repeating
  - B) Trust is uncertain

- C) A friend's text message is short
  - D) Multiple people affect the outcome
3. A manager is sure a team member's missed deadlines come from laziness. He introduces a public "late list," and the deadlines get worse. Using the loop, what is the best next step?
- A) Make the late list more prominent
  - B) Conclude the employee is irrational
  - C) Ask what response the new rule created that he failed to anticipate, and revise his model
  - D) Stop tracking deadlines entirely
4. What best distinguishes strategic thinking from suspicion?
- A) Strategic thinking assumes people usually lie
  - B) Suspicion tests hypotheses, and strategic thinking doesn't
  - C) Strategic thinking considers possibilities and tests them, while suspicion assumes hostile intent
  - D) There is no meaningful difference
5. You explain your reasoning clearly. The other person restates it accurately and still refuses. What does the book suggest you consider?
- A) Explaining it again more slowly
  - B) That it may never have been an information problem, and your interests may be genuinely opposed
  - C) That they are acting irrationally
  - D) That you should hide some information next time
6. A sales rep learns that a prospect is anxious about falling behind competitors. She considers inventing a story that two of the prospect's rivals just signed. Which statement reflects the book's position?
- A) If it closes the deal, it's good strategy
  - B) It's fine as long as the product is genuinely good
  - C) It may "work," but it violates truth and informed choice, and "Should I do it?" must be asked separately
  - D) It's acceptable in a one-shot interaction because there's no shadow of the future
7. Two longtime co-founders each withhold their real concerns about the company's direction because each fears the other will use it against them. Nothing changes for months. What move does the Conclusion suggest may sometimes be correct here?
- A) A measured act of vulnerability, such as disclosing a concern first, which can change beliefs and shift the equilibrium
  - B) Withholding even more, to protect your position
  - C) Issuing an ultimatum

- D) Waiting for the other person to go first, however long it takes
8. What sits “above all” eleven questions in the book’s framework?
- A) “Who has the most power?”
  - B) “What should I say?”
  - C) “What did I learn from what just happened?”
  - D) “How do I win?”

## Field assignment

**This week: run the loop five times.**

Choose five interactions this week that clear the bar for analysis. At least one should involve someone you’ll deal with again, and at least one should involve more than two people. For each one:

1. Before acting, take the pause between stimulus and response. Write your story, your confidence, and the one or two lenses you’re leading with.
2. Make a specific prediction: “If I do X, they’ll do Y.”
3. Act, then log in the Practice Log what actually happened.
4. Score your prediction as right, partly right, or wrong, and fill in the Update and Adapt columns.

Also record one ordinary interaction where you noticed yourself starting to over-analyze and chose not to.

**Debrief questions for next week** 1. How many of your five predictions were right? In the ones that were wrong, was the error mostly about payoffs, information, credibility, or the structure of the game? 2. Which surprise taught you the most, and how did you change your model because of it? 3. Did any move tempt you toward something that would “work” but fail the truth, autonomy, dignity, or informed-choice check? What did you do instead?

## Capstone project

### Purpose

This is the course-completion project. Over two to three weeks, you’ll take one real, high-stakes interaction from your own life through the full strategic-judgment cycle. You’ll see the game, choose the lenses that matter, design an ethical move, act, and learn from what happens. The Capstone does not test whether you get the outcome you wanted. People surprise us, and no framework gives you control over them. It tests whether you saw the game clearly, acted with integrity, and learned faster from what happened.

## Choosing your interaction

Choose something real, current, and consequential where you'll actually make a move within the project window. Good candidates include a compensation or contract negotiation, a recurring conflict with a partner, family member, or colleague, a team that keeps failing the same way, a boundary you need to set, a decision about whether to stay in or leave a situation, or a proposal you need others to adopt.

It must meet at least three of the book's criteria: high stakes, something doesn't make sense, a recurring pattern, unclear incentives, uncertain trust, multiple people affecting the outcome, or your normal approach not working.

Avoid situations involving physical danger or ongoing abuse. In those cases, safety and appropriate professional support come before any analysis.

## Deliverables

1. **Situation brief** (250–400 words). Facts, kept strictly separate from your story, with a confidence rating, plus your stakes and what “winning” would actually mean to you.
2. **Completed Strategic Judgment Worksheet**. All eleven questions scanned, with the 2–4 lenses you chose analyzed in depth and a written rationale for the lenses you set aside.
3. **Hypothesis table**. At least three competing explanations of the other players' behavior, with a plan to tell them apart.
4. **Move design** (300–500 words). Your move, the alternatives you rejected and why, your explicit prediction, and the full ethics check. Include whether a game-changing move (new options, new rules, new players, or refusing to play) is available.
5. **Practice Log**. At least three Model → Act → Observe → Update → Adapt entries covering the interaction and its follow-ups.
6. **Debrief** (600–900 words). Observe, Update, Adapt. What happened, where reality differed from your prediction and why, what you'd do differently, and what you'll do next. End with one paragraph on which lens you'll now notice faster in other situations (transfer).

## Step-by-step process

1. **Pick and frame (days 1–2)**. Choose the interaction. Write the situation brief. Name what you'd consider a good outcome, including outcomes other than “winning,” such as preserving the relationship, telling the truth at a cost, or walking away.
2. **Scan wide (day 3)**. Answer all eleven questions briefly, without editing. This is the only time you deliberately run the whole set.
3. **Choose the lens (day 3)**. Circle the two to four lenses that explain the most. For the others, write one line each on why they matter less here. Over-analysis counts against you, not for you.

4. **Go deep (days 4-5).** Fully analyze the chosen lenses. Map players (including people not in the room), payoffs, likely responses, the stabilizing pattern, information gaps, credibility, commitments, and future rounds, as relevant.
5. **Hold hypotheses (day 5).** Build the hypothesis table. Where you can, design a low-risk question or observation that would discriminate among them before your main move.
6. **Design the move (day 6).** Draft your move and two alternatives. Ask “Will this work?” and “Should I do it?” separately. Consider vulnerability, consider walking away, and consider changing the game. Write a specific, checkable prediction.
7. **Act (days 7-14).** Make the move. Log what happened as soon as you can, with facts first and interpretation second.
8. **Observe, update, adapt (days 7-21).** Compare outcome to prediction. Use the surprise prompts. Revise your model, make at least one follow-up move if appropriate, and log it.
9. **Write the debrief (final days).** Be honest about what you got wrong. A clean prediction that came true teaches less than a surprise you learned from.

### Scoring rubric

| Criterion                 | Developing                                                                                                                       | Proficient                                                                     | Strong                                                                                                                                                           |
|---------------------------|----------------------------------------------------------------------------------------------------------------------------------|--------------------------------------------------------------------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>1. Seeing the game</b> | Describes the conversation but not the structure. Players, options, or outside options are missing. Facts and story are blended. | Identifies the main players, options, and payoffs. Separates facts from story. | Maps the full structure, including players not in the room, outside options, coalitions, and timing. Separates facts from story with explicit confidence levels. |
| <b>2. Lens selection</b>  | Applies every model mechanically, or relies on just one without justification.                                                   | Chooses 2-4 relevant lenses and explains the choice.                           | Chooses lenses with a sharp rationale, explains why the others matter less, and shows the restraint of “more analysis isn’t always better.”                      |

| Criterion                                                   | Developing                                                                                 | Proficient                                                                                         | Strong                                                                                                                                                                                                         |
|-------------------------------------------------------------|--------------------------------------------------------------------------------------------|----------------------------------------------------------------------------------------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>3. Hypotheses and prediction</b>                         | One explanation, held with certainty.<br>Prediction vague or missing.                      | Several hypotheses and a specific prediction.                                                      | Several well-differentiated hypotheses, a deliberate way to tell them apart, and a specific, checkable prediction made before acting.                                                                          |
| <b>4. Move design</b>                                       | Move is a script or tactic disconnected from the analysis.                                 | Move follows from the analysis and considers likely responses.                                     | Move follows from the analysis, weighs alternatives (including vulnerability, walking away, or changing the game), and accounts for future rounds and precedent.                                               |
| <b>5. Ethics: truth, autonomy, dignity, informed choice</b> | Ethics not considered, or the move relies on deception, pressure, or withheld information. | Move passes all four checks, and “Will this work?” and “Should I do it?” are addressed separately. | Move passes all four checks with specific reasoning, considers what any cooperation is directed toward, and treats the other person as a decision-maker whose agency is respected even when it costs a payoff. |
| <b>6. Observe / Update / Adapt</b>                          | Reports the outcome only, or explains away surprises. Calls others “irrational.”           | Compares outcome to prediction, identifies at least one model error, and states an adaptation.     | Treats surprise as information, asks what would have to be true for others’ behavior to make sense, revises the model specifically, follows up, and names a transferable lesson.                               |

A passing Capstone is Proficient or better on all six criteria. Ethics (criterion 5) must be at least Proficient regardless of other scores. A strategy that works but fails that check is incomplete.

## The question to carry

What did I learn from what just happened?

## My notes

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